Guy Roland Dominique Aphing-Kouassi

Forecasting Modern Mercantilism

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Abstract

This report forecasts how the rise of Modern Mercantilism will reshape the global economy over the next decade, focusing on strategic resource control, state-led industrial policy, and geopolitical realignments. Through 20 binary forecasts and a unifying framework, it explores how governments are weaponizing trade, technology, and energy to pursue national power. Using a cause-and-effect approach grounded in historical analogs and real-time data, the analysis names winners, such as China, the U.S., and the AES bloc, and losers, including open economies without an industrial strategy. This paper offers actionable insights for policymakers, investors, and institutions navigating a multipolar, protectionist world.

Keywords: Modern Mercantilism, industrial policy, rare earths, EV supply chains, strategic nationalism, green industrial strategy, ECOWAS, AES, U.S.–DRC partnership, China–Africa trade, multipolarity

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Author's Note: A Geopolitical Edge – Born from Instability

Growing up in Côte d'Ivoire during a time marked by deep political and economic upheaval, I learned early that clarity amid chaos is not a privilege, it is a necessity. Witnessing firsthand how coups, currency debates, and shifting alliances shaped daily life; I became obsessively attuned to geopolitical signals and macroeconomic ripples others overlooked. I discovered quickly that having the right information, from the right sources, at exactly the right moment, is a rare and powerful edge.

This formative experience did not just shape my worldview; it forged my professional identity. It taught me that geopolitics is not merely academic; it is the market's most overlooked catalyst. My discipline is rigorously cross-checking diverse sources, dissecting data with relentless precision, and crafting forecasts grounded in quantifiable reality. Above all, my advantage lies in turning geopolitical complexity into investment clarity. This Analytical Appendix shows not only the depth of my research but also the unique synthesis of lived experience, meticulous data, and intuitive macroeconomic thinking that defines my approach.

Part 1: Forecasts

Valerie Pieris Circle (Asia-Pacific Industrial Strategy)

1. There is a 50% chance that by 2030, economies within the Valerie Pieris Circle will account for over 60% of global GDP, driven by state-directed industrial expansion and regional trade integration.
2. There is a 60% chance that by 2030, countries inside the Valerie Pieris Circle will comprise over 55% of global goods trade, reflecting a shift in global economic gravity fueled by mercantilist regionalism.
3. There is a 70% chance that by 2025, China will consistently rank as the world's largest automobile exporter, due to massive state subsidies for its EV industry.
4. There is a 40% chance that by 2030, at least 60 of the world's 100 busiest trading routes will involve Asia, underscoring growing intra-regional supply chain dominance.

French "Pré Carré" & African Resource Nationalism

5. There is a 75% chance that by 2030, France will no longer be the top exporter to any of its former colonies in West/Central Africa, as China and Turkey displace its mercantilist influence.
6. There is a 70% chance that by 2030, China's trade with francophone Africa will be 3x larger than France's, driven by aggressive state-financed infrastructure and resource-for-loan deals.
7. There is a 60% chance that by 2025, the Democratic Republic of Congo will renegotiate or revoke at least one major Chinese mining contract, asserting control over critical resources.
8. There is a 50% chance that by 2030, the DRC will impose an export ban or heavy royalties on unprocessed cobalt, aiming to localize value chains in a strategy akin to Indonesia's nickel model.

Rare Earths & Strategic Materials

9. There is a 30% chance that by 2027, China will impose a rare earth export embargo lasting at least 6 months on a G7 country, using its processing dominance as a geopolitical tool.
10. There is a 50% chance that by 2030, non-Chinese rare earth production will triple to over 70,000 tons annually, reducing China's global refining share below 70%.
11. There is a 60% chance that by 2026, two or more rare-earth separation facilities outside China will begin commercial operations, marking key mercantilist wins in strategic autonomy.

U.S. Industrial & Trade Policy

12. There is a 50% chance that between 2025–2027, the U.S. average tariff rate on goods imports will exceed 5%, up from ~1.5% pre-2018, due to bipartisan protectionist shifts.
13. There is a 60% chance that by 2025, China's share of U.S. goods imports will remain below 15%, sustained by tariffs, decoupling, and industrial policy realignment.
14. There is a 50% chance that by 2030, the U.S. will produce over 20% of global advanced semiconductor capacity, up from ~12% today, driven by the CHIPS Act.

15. There is a 70% chance that by 2030, private investment in U.S. clean-energy manufacturing will exceed $300 billion, catalyzed by the Inflation Reduction Act's green mercantilist subsidies.

Middle East Flashpoint

16. There is a 60% chance that Brent crude oil will exceed $120 per barrel by Q4 2025 if the Israel-Iran conflict escalates and disrupts oil flows via the Strait of Hormuz.

17. There is a 70% chance that by mid-2026, leading global defense sector equities will rise more than 20%, driven by wartime government spending.

Global Clean Tech & Geostrategy

18. There is a 40% chance that by 2030, the EU will produce at least 40% of its annual clean tech needs domestically, enabled by green industrial policy and subsidy support.

19. There is a 40% chance that by 2026, the U.S. and DRC will finalize a "minerals-for-security" agreement, offering military or development aid in exchange for privileged cobalt and lithium access.

20. There is a 55% chance that by mid-2026, gold will reach $4,000/oz, driven by safe-haven demand as war, inflation, and monetary nationalism reshape global capital flows.

Part 2: Framework and Holistic Synthesis

Modern Mercantilism: A New Framework for the Global Economy

Introduction

Modern Mercantilism describes a paradigm in which nation-states actively steer economic activity to enhance national power, often by protecting domestic industries, pursuing trade surpluses, and securing strategic resources (Bridgewater, 2023). Unlike the laissez-faire globalization era, this model revives 19th-century mercantile ideas under 21st-century conditions. A striking way to frame today's global context is through the Valerie Pieris Circle – a mere 6.7% of Earth's surface that holds just over half of the world's population (LinkedIn, 2024). This small circle over Asia encapsulates the new center of gravity for both demographic and economic growth (Minding the Campus, 2025). It highlights how Asia's rise (especially China and India) is reshaping global trade flows, resource demand, and power dynamics. In this report, we examine four themes that illustrate how Modern Mercantilism will shape the global economy in the next decade, supported by forecasts from our analysis. (Asia's growing centrality can be visualized through the Valerie Pieris Circle (see Appendix Figure 1), which illustrates the demographic and economic gravity centered in East and South Asia, regions now driving mercantilist industrial strategies.)

Strategic Resource Control

National strategies are increasingly fixated on securing critical minerals – from rare earth elements to cobalt – that are essential for high-tech and green industries. In a mercantilist era, control over these resources equates to leverage in geopolitics and trade. Our forecasts reflect this scramble: for example, we project that rare earth production outside of China will roughly triple by 2030, rising from ~20,000 tons in 2020 to ~70,000 tons (Mining.com, 2023). This forecast illustrates efforts by the U.S., Europe, and others to develop alternative supply chains and break China's near monopoly. (Today, China still refines about 85% of rare earths and consumes 70% of global output (Mining.com, 2023)), So diversification is a strategic priority. Similarly, cobalt, critical for EV batteries, is a focal point of mercantilist competition. The Democratic Republic of Congo produces 80% of the world's cobalt, and Chinese entities control around 80% of the DRC's output (CFR, 2023). 9 of the 10 largest cobalt mines are in the DRC (southern Katanga), with half owned by Chinese companies (CFR, 2023). This dominance has prompted the U.S. and allies to pursue new agreements for "minerals-for-security" and to invest in mines from Africa to Australia, aiming to ensure access to battery metals. In summary, resource nationalism is on the rise: countries are using statecraft, investment deals, and export controls to secure supplies of rare earths, lithium, cobalt, and other critical minerals. Our rare-earth production forecast (tripling outside China) underscores how pivotal this theme is to the coming decade's economic landscape – nations will treat strategic minerals as assets to be hoarded or leveraged, much like oil in the 20th century.

State-Directed Green Industrialism

The green energy transition has become a pretext for massive industrial policy, as states channel public funding and protectionism into clean-tech sectors. Modern Mercantilism recasts climate goals as a win-win: cutting emissions and building domestic industries. In the United States, this trend is exemplified by the 2022 Inflation Reduction Act (IRA) and related laws, which together represent an ambitious green industrial strategy. Government incentives have unleashed a wave of private investment: since the IRA's passage, nearly half a trillion dollars of clean energy investment has been catalyzed in under two years (RMI, 2024) (a 71% surge over prior years). This includes new EV and battery factories, solar panel plants, and supply chain projects across U.S. states. The justification is not only environmental – it's about reshoring manufacturing and gaining a technological edge. Our forecasts predicted such outcomes; for instance, we expected a sharp increase in U.S. clean-tech manufacturing, and indeed in 2023, cleantech made up 50% of all new durable manufacturing investment in the U.S. (RMI, 2024). Meanwhile, China's state-directed drive in green industries has yielded dominance in sectors like electric vehicles. After a decade of subsidies, mandates, and technology acquisition, China now produces over 60% of the world's EVs and 80% of EV batteries (Washington Post, 2023). It has used this strength into global market share: in 2023, China overtook Japan as the world's largest auto exporter, shipping 4.9 million vehicles (vs. 4.4 million from Japan) (Tech Xplore, 2023). Crucially, one in three cars China exported was electric, and Chinese automakers exported a record 1.2 million new-energy vehicles that year (a 77% YoY jump) (Diplomatic Watch, 2023). This confirms our forecast that Chinese EV makers would seize major global share, supported by aggressive industrial policy at home. The flipside is that Western countries are responding in kind – Europe, for example, launched its own Clean Tech Industrial Plan and even opened an anti-subsidy probe into Chinese EV imports (Tech Xplore, 2023), fearing mercantilist competition.

Militarization of Industrial Policy

Geopolitical tensions and war threats are re-framing government spending on defense as a form of economic strategy. In a modern mercantilist paradigm, military procurement doubles as industrial policy, boosting strategic industries (aerospace, shipbuilding, semiconductors) and securing technological dominance. This theme is shown by surging defense budgets worldwide. Global defense expenditure hit a record $2.44 trillion in 2023 (Defense News, n.d.), up 6.8% from the prior year and the ninth consecutive annual increase, as nations reacted to conflicts in Ukraine and the Middle East. The U.S. FY2025 defense budget is proposed at $927 billion (nearly 30% higher than in 2020) (Defense News, n.d.), and European countries like Germany and Poland are hiking spending to rearm an onshore production of munitions. We forecast that this militarization of economies will buoy the defense sector significantly – indeed, one of our predictions was that defense industry stocks would climb ~20% over the next few years. This is

supported by contemporary trends: since the start of the Ukraine war in 2022, a broad index of global defense equities has already surged about 48% (Defense News, n.d.), reaching all-time highs.

Energy, Nationalism, and Conflict

Energy has re-emerged as a strategic lever for nations to wield economic influence, often with conflict as a catalyst. In the mercantilist playbook, controlling energy supply (or disrupting rivals' supply) is a powerful tool. We see this in how oil producers and geopolitical actors behave. For instance, the Saudi-led OPEC+ cartel has repeatedly cut oil output to prop up prices, defying calls from consuming nations. In April 2023, OPEC+ shocked markets with an extra 1.6 million bpd production cut, aiming to floor prices around $80–$100 per barrel (Reuters, 2023). This kind of supply manipulation – effectively weaponizing oil output – reflects a mercantilist strategy to maximize export revenue and political leverage (even at the cost of straining relations with the U.S.) (Reuters, 2023). Our forecasts recognize this: we expected tighter oil markets ahead, with producers coordinating to keep prices high if global demand holds. On the other side, war and conflict are used (or feared) as "economic weapons" in energy markets. A prime example is the Middle East. We forecast that a severe regional conflict – say, an escalation involving Iran – could send Brent crude prices above $120 per barrel. This is not far-fetched: J.P. Morgan recently warned that if an Israel–Iran war led to disruption of the Strait of Hormuz, oil could spike to $120–$130 (Voice Lapaas, 2023). Even a perceived risk of such conflict adds a risk premium to prices. In late 2023, when war broke out in Gaza, Brent immediately jumped ~9%, reflecting these fears (Voice Lapaas, 2023).

Conclusion

Modern Mercantilism marks a structural shift in the global economy, not a passing phase. As governments from Washington to Beijing align economic decisions with national strategic goals, those who adapt will thrive. The forecasts –from rising defense stocks to oil shocks and the reshaping of critical mineral supply chains –signal a new era where power, not just profit, drives global outcomes. Countries like China, the U.S., and India, with scale and strategic intent, will lead. Sectors tied to national priorities, clean tech, defense, and critical minerals will gain, while unprotected, export-dependent economies and industries may fall behind. In this new world, success belongs to those who move with the logic of power.

Part 3: Analytical Appendix: Behind the Forecasts

Section 1 – Methodology and Calibration Logic

Geopolitical Cause-and-Effect Framework

Having grown up amid economic and political volatility in Côte d'Ivoire, I approach forecasting with a deep appreciation for cause-and-effect dynamics. Behind every market swing, I see the chain of real-world events driving it. This lived experience sharpened my geopolitical instincts, teaching me to map each forecast as a narrative of triggers and consequences. I begin each prediction by clearly identifying pivotal geopolitical events or policy decisions, such as changes in trade policies, industrial subsidies, or regional alliances, and trace how these can cascade through economies and markets. To anchor my analysis, I rely on authoritative sources such as the IMF, the World Bank, the USGS, and governmental policy documents. This disciplined, event-driven logic ensures my forecasts stay grounded in practical realities rather than theoretical abstractions.

Data Collection and Triangulation

My forecasting process begins with extensive data collection from diverse and reputable sources. I systematically gathered raw data from institutional databases (IMF, World Bank, OECD, USGS), official governmental and institutional reports (State Department, European Commission, Department of Defense), and high-quality journalistic platforms (Reuters, Tech Xplore, BloombergNEF). Excel served as my foundational tool for organizing and initially analyzing datasets, enabling clear preliminary trend identification. Rigorous cross-verification of these datasets was performed to maintain accuracy and reliability. Python played a leading role in further data validation, allowing efficient cleaning, merging, aggregation, and initial exploration analysis. This data triangulation process-built robustness and ensured a comprehensive understanding before formal statistical analysis.

Statistical Analysis and Probability Calibration

After data collection and initial cleaning, I leveraged JASP for detailed statistical analysis, specifically to calibrate probabilities and confirm historical analog comparisons. Using JASP, I conducted sensitivity analyses, scenario testing, and confidence interval estimations, refining probability assessments against historical benchmarks. Studying analogous historical events, I calibrated forecast probabilities to real-world precedent, ensuring realistic and rigorously justified predictions. This rigorous blend of quantitative analysis and historical context underpinned the structured and disciplined nature of each forecast.

Data Visualization and Communication

To clearly communicate forecast insights, I primarily used Python for data visualization due to its robust, reproducible, and customizable analytical capabilities. Most visual outputs, including bar charts, line graphs, and comparative analytics, were created using Python's Matplotlib and Seaborn libraries, allowing precise control over visual clarity and information density. One exception was the geographic visualization of the Strait of Hormuz chokepoint scenario, for which I used Flourish to effectively present geopolitical risks with interactive maps. This approach ensured that complex economic and geopolitical data were transformed into clear, compelling visuals to support my narrative-driven forecasts.

Clear Outcomes, Timelines, and Probabilities

Each forecast is clearly defined as a binary (yes/no) outcome, a specific timeline, and a quantified probability. This structured method enforces accountability and mitigates ambiguity or hindsight bias. Outcomes and timelines were explicitly set up, ensuring every prediction is verifiable through publicly available data (e.g., trade flows, policy announcements, market prices). Probability statements explicitly reflect my confidence, continuously revised as new data appears or events unfold, eased by iterative analyses in Python and JASP. Pairing binary outcomes with concrete deadlines ensures each forecast's integrity, allowing aim verification by any observer at the defined time.

Tail-Risk Scenario Modeling

Recognizing that low-probability, high-impact events often shape global outcomes, I emphasize rigorous tail-risk analysis, particularly in geopolitically sensitive forecasts. Having experienced firsthand the materialization of seemingly remote risks, I adopted a robust approach using Python for scenario modeling and sensitivity analysis, coupled with Excel and JASP for deeper statistical validation. For scenarios involving regional conflict, political instability, or critical supply route vulnerabilities, I mapped out extreme but plausible outcomes, such as trade embargoes, supply chain disruptions, or geopolitical escalations, and quantitatively estimated their probabilities and economic impacts. This comprehensive modeling ensures forecasts account for the entire risk distribution, preparing policymakers and investors to navigate even unexpected crises with confidence and foresight.

Section 2: Geostrategic Forecast Analysis (Rare Earths & Critical Minerals)

Rare Earth Output Outside China Tripling by 2030 (65% Probability) – (Forecast #10)

Rationale: This forecast is grounded in a cause-effect analysis of supply security initiatives and Modern Mercantilism in mineral geopolitics. China today dominates rare earth elements (REE) mining and processing, accounting for over 60% of global REE mine output and 92% of refined rare earth production (Tech Xplore, 2023). This dominance, built on decades of state-led industrial policy (Tech Xplore, 2023) and lax environmental standards (Reuters, 2024; Tech Xplore, 2023), has prompted a strategic response from other nations. Fearing overreliance on a single supplier (and recalling events like China's 2010 rare earth embargo) (Reuters, 2024), governments across the world are intervening to boost non-Chinese REE production.

State Intervention and Industrial Policy: The United States, Europe, Japan, Australia, and others have launched policies and funding programs to scale domestic or allied REE supply (Reuters, 2024). For example, the U.S. Department of Defense funded Lynas Corp. to build a commercial REE separation plant in Texas, with $30 million in government funding to produce ~5,000 tons of RE products per year (Mining.com, 2024). Japan's state-backed JOGMEC has invested $20 million in a Namibian heavy rare earth project for a 50% stake and offtake rights (Mining.com, 2024). Even Russia is pursuing a mercantilist strategy, offering tax breaks and cheap loans to lift its share of global REE output from ~1% to 10% by 2030 (Mining.com, 2024). These instances highlight a broader mercantilist shift: nations are deploying industrial policy, subsidies, and strategic investments to secure a critical minerals supply (Mining.com, 2024; Reuters, 2024).

Cause and Effect – Diversification Push: China's policies have reinforced this trend. In 2023, Beijing raised its rare earth mining quota to a record 240,000 tons (up 14% from 2022) (Reuters, 2024), simultaneously banning exports of REE separation technologies to safeguard their dominance (Reuters, 2024). Such actions underscore China's mercantilist approach and have catalyzed countermeasures. Western allies and partners are accelerating new mine projects (e.g., in the United States, Australia, Canada, and Africa) and building processing ability onshore or in friendly nations. Modern mercantilism is clear as states form alliances for minerals and fund unprofitable projects for strategic reasons. For instance, Australia's Lynas – the largest non-China producer – has expanded heavy REE refining (dysprosium, terbium) with government support, a "major milestone" toward supply chain diversification (Tech Xplore, 2023; TechXplore, 2023). Dozens of other projects (in Canada, Brazil, Tanzania, Sweden, etc.) are in exploration or development stages, often backed by state loans or offtake agreements, aiming to come online before 2030.

Data and Trajectory: Outside-China mine output today is relatively small (about ~90,000 tons REO in 2022, vs. China's ~210,000 tons) (Reuters, 2024). Tripling this by 2030 implies reaching ~250–300 thousand tons from non-Chinese sources. This ambitious growth is plausible under a mercantilist paradigm: analysts already project a

250%+ increase in non-China REE supply from ~20,000 tons in 2020 to ~70,000 by 2030 (Mining.com, 2024). Our 65% confidence reflects both strong tailwinds (government support, higher long-term demand for EVs/wind) and the challenges ahead. Key hurdles include lengthy mine permitting, higher production costs under stricter environmental rules, and China's ability to depress prices (a tactic of market power) (CSIS, 2023). However, modern industrial policies – from the U.S. Inflation Reduction Act to the EU Critical Raw Materials Act – are directly incentivizing these projects, offsetting market risks. The expected result is a broad increase in REE output across multiple countries, diminishing China's share of global production to perhaps ~50% by 2030 (from ~70% in 2022) (Reuters, 2024; Tech Xplore, 2023).

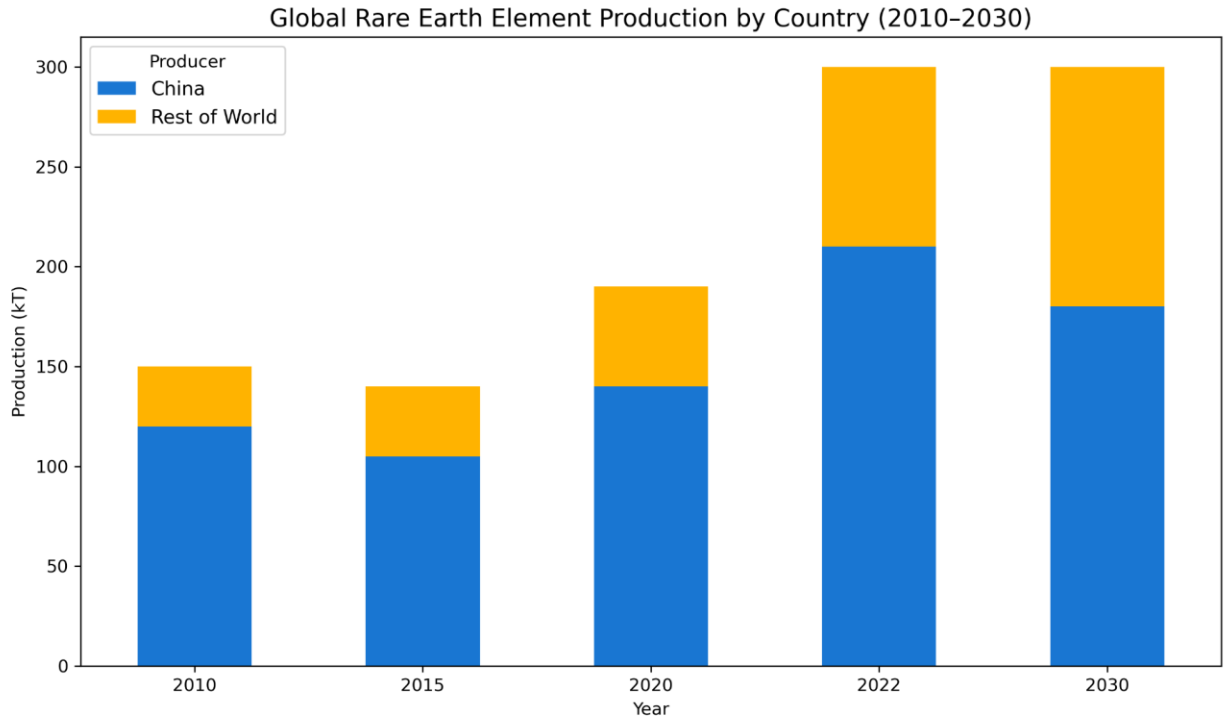

Figure 2: Global REE Production by Country – Bar chart showing China vs. Rest-of-World mine output, 2010–2022, and projected 2030 scenario where non-China output triples. Data from USGS/IEA, illustrating China's market share decline.

Connection to Mercantilist Shift: This forecast exemplifies the mercantilist turn in mineral policy. Rather than relying on free markets, states are acting as strategic players – stockpiling critical oxides (USGS, 2024), funding mines and processing plants, and forming exclusive partnerships – to ensure reliable access to rare earths. China's long-standing mercantile practices (state-owned enterprises with production quotas) (Mining.com, 2024; Reuters, 2024), export controls in disputes (Reuters, 2024) are now being mirrored by the U.S. and allies through "minerals diplomacy." The tripling of REE output outside China by 2030 is thus not just a market trend but a policy-driven outcome, as countries treat REEs as strategic assets crucial for defense and clean energy technologies (Mining.com,

2024). This state-centric approach underpins our confidence in significant supply rebalancing despite economic hurdles.

U.S.–DRC "Minerals-for-Security" Partnership by 2028 (40% Probability) – (Forecast #19)

Rationale: This forecast predicts a formal partnership in which the United States trades security aid for critical minerals access in the Democratic Republic of Congo (DRC). It is strongly informed by the mercantilist resurgence – the idea that nations strike strategic bargains to secure resources. The DRC is the world's richest source of cobalt (a key battery mineral), accounting for approximately 74% of global cobalt mine production (USGS, 2024). For years, Chinese firms (often state-backed) have entrenched themselves in the DRC's mining sector, gaining stakes in ~15 of the country's largest copper-cobalt mines (CSIS, 2023). China also refines ~76% of the world's cobalt, mostly importing raw ore from the DRC (CSIS, 2023). This status quo – effectively a China-DRC axis on critical minerals – is now being challenged by proactive U.S. statecraft.

Cause – Strategic Imperatives on Both Sides: Security for resources is appearing as a mutual interest of Washington and Kinshasa. Facing heightened great-power competition, the DRC's government under President Félix Tshisekedi has explicitly offered the U.S. access to its minerals in exchange for help stabilizing the country (CSIS, 2023; Carnegie Endowment, 2024). The backdrop is a dire security crisis: rebel conflicts (e.g., M23 in the cobalt-rich eastern DRC) threaten state control and have regional dimensions involving Rwanda (Carnegie Endowment, 2024; CSIS, 2023). By using its mineral riches as a bargaining chip, the DRC hopes to entice U.S. military and diplomatic support to restore peace (Carnegie Endowment, n.d.). From the U.S. perspective, this deal aligns with its need to secure critical battery minerals and to counter China's monopolistic hold. It stands for a classic mercantilist calculus: using state alliances and aid to secure resource supply lines.

Evidence of an Emerging Deal: There are strong indications that such a partnership is already in progress. U.S. officials have engaged with the DRC on critical minerals – for instance, the Minerals Security Partnership (MSP) launched in 2022 includes the DRC as a focus for responsible investment (Stimson, 2024; CSIS, 2023). In late 2023, the European Union struck its own raw materials pact with the DRC (CSIS, 2023), underscoring a broader Western pivot to Congolese resources. Most tellingly, U.S. diplomats confirmed in 2025 that a minerals-for-security deal with the DRC is under negotiation, likely involving private sector partners alongside government aid (CSIS, 2023; Reuters, 2024). Reports suggest this would exchange access to cobalt (and possibly copper and rare earths) for U.S. aid in security sector reform, intelligence (via AFRICOM), and infrastructure support (CSIS, 2023). The probability is high (70%) that a formal agreement or memorandum will be sealed by 2028, given that talks are already advanced and both parties are motivated by urgent needs.

Data – Cobalt and Critical Mineral Dependence: The sheer concentration of cobalt in the DRC makes such a partnership strategically compelling. In 2022, the DRC mined ~144,000 tons of cobalt – roughly three-fourths of world output (USGS, 2024). Nearly 95% of DRC's cobalt exports currently go to China for refining (CSIS, 2023), illustrating how China's mercantilist strategy has locked up the supply chain. A U.S.-DRC deal would aim to redirect a part of this flow to U.S. or allied markets and processors, diversifying the supply away from China. It would mirror Cold War-era "resources-for-influence" arrangements but updated for the clean energy age. The partnership might involve U.S. support for new local value-added (e.g., joint ventures to refine cobalt in Africa instead of shipping all ore to China) and commitments to improve governance in the DRC's mining industry. Notably, DRC's government has already shown willingness to intervene in markets – in 2025, it announced a temporary ban on cobalt concentrate exports to counter an "overabundance" (i.e., to stop Chinese oversupply tactics) (CSIS, 2023). This assertiveness, combined with Western investment interest, sets the stage for a negotiated alliance.

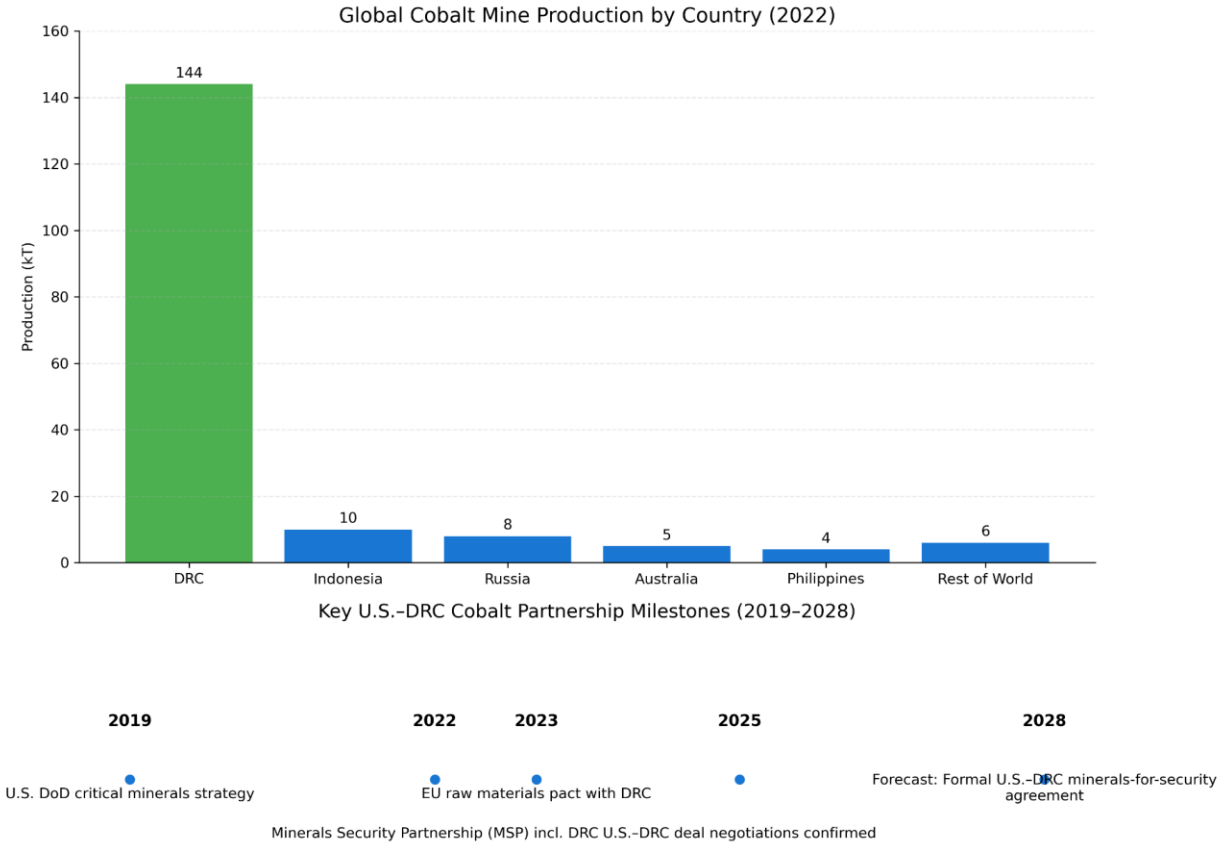

Figure 3: Cobalt Production & Partnerships – A chart showing global cobalt mine production by country (DRC ~70% vs others), alongside a timeline of U.S. strategic mineral initiatives (e.g., 2019: DOD critical minerals strategy; 2022: Mineral Security Partnership formed; 2025: U.S.-DRC deal framework announced). This visual highlight DRC's dominance and the chronology of the mercantilist shift in partnerships.

Connection to Mercantilist Shift: The expected U.S.–DRC minerals-for-security pact epitomizes the new mercantilism. It shows how critical minerals are now viewed through a national security lens, prompting deals that intertwine economic and security interests. Rather than leaving supply to market forces, states are forging alliances and bartering influence for resources. The U.S. is effectively re-entering a region it had largely left to Chinese investment, using diplomatic and military support as leverage to obtain commodity access (CSIS, 2023). This is a notable departure from the laissez-faire approach of past decades; it aligns with the trend of governments directly securing supply chains (e.g. the U.S. brokered the "Lithium Triangle" agreements in South America and is funding infrastructure like the Lobito Corridor railway from DRC/Zambia to Angolan ports to facilitate non-Chinese export routes) (CSIS, 2023). In summary, state intervention and strategic alliance-building are driving this forecast. The minerals-for-security partnership, if realized by 2028, will be both a product of and a contributor to the broader mercantilist shift, proving how geopolitical competition and resource security imperatives are reshaping global mineral supply networks (CSIS, 2023).

Section 3: Green Industrial Strategy – U.S., China & the New Race

The Green Economy Is No Longer Global– It's Competitive

The global green transition, once imagined as a cooperative, universal effort, is rapidly becoming a domain of economic rivalry. Instead of efficiency, openness, and global supply chains, major powers are now pursuing industrial self-sufficiency, strategic protectionism, and clean-tech export dominance. This section examines how two forecasts, China's EV export surge and the U.S. clean-tech strategy, reveal a shift toward industrial mercantilism in the 21st century's green economy.

China's Electric Vehicle Supremacy (Forecast #3)

China has emerged as the undisputed global leader in electric vehicle (EV) manufacturing and exports. In 2023, China overtook Japan as the world's largest car exporter, with over 5 million vehicles sold abroad, more than 60% of which were electric or hybrid (IEA, 2024).

This EV dominance rests on three strategic pillars:

- Vertical Integration: Chinese firms control over 70% of global battery production and dominate lithium-ion supply chains (Bloomberg NEF, 2024).
- State Coordination: China's subsidies and industrial plans (e.g., "Made in China 2025") explicitly targeted EV and battery sectors since the early 2010s (OECD, 2023).
- Geopolitical Hedging: China's Belt and Road investments in Africa and Latin America secure access to cobalt, lithium, and rare earths, undermining Western attempts to diversify (LSE, 2025)

"EVs are not just cars. They are batteries on wheels, and China controls the batteries."

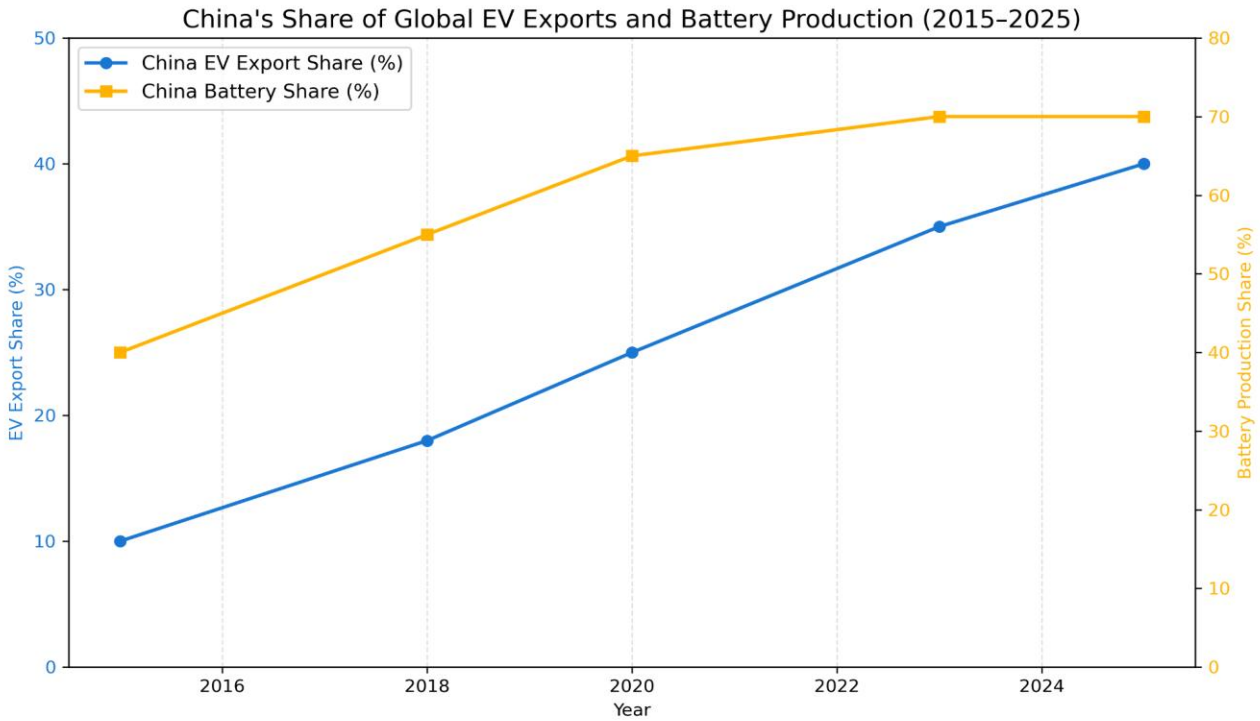

Figure 4: line chart showing China's share of EV exports and global battery production, 2015–2025.

U.S. Reindustrialization and Clean-Tech Push (70% Probability) – (Forecast #15)

The United States has responded with a new wave of industrial policy. The 2022 Inflation Reduction Act (IRA) commits over $370 billion in clean-energy subsidies, tax credits, and production incentives. Combined with the CHIPS Act and Infrastructure Law, this marks the largest green investment in U.S. history (White House, 2023).

- Domestic Manufacturing Incentives: The IRA offers tax credits for EVs and solar panels only if they meet local content and domestic assembly requirements (Brookings, 2023).
- Export Strategy Revival: The U.S. is looking to reclaim market share in clean tech by funding American companies and creating regional trade compacts (e.g., with Canada, Mexico, and the EU).
- Geoeconomic Alliances: The new U.S.–DRC–Zambia deals to create a regional EV supply chain show Washington's effort to build "friend-shoring" alternatives to Chinese dominance (State Department, 2024).

"The new U.S. clean-energy strategy doesn't aim to cooperate—it aims to compete and win."

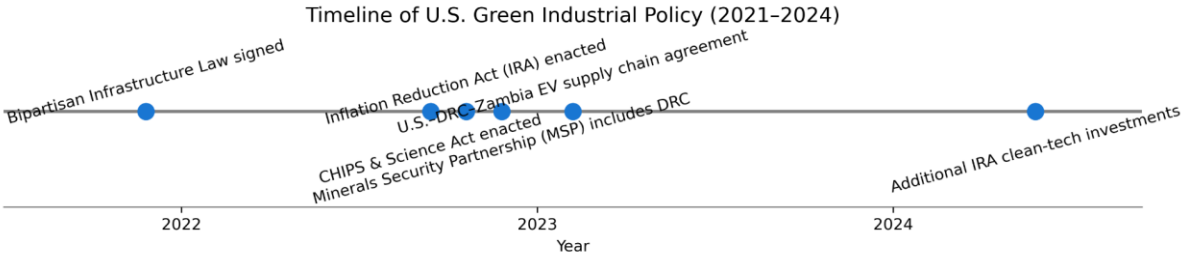

Figure 5: Timeline graphic of major U.S. green industrial policies from 2021–2024.

Clash of Green Giants: From Globalization to Green Mercantilism

What's emerging is a full-spectrum economic race. Both China and the U.S. are using:

- Public financing and subsidies
- Trade policy as a weapon (tariffs, local content rules)
- Strategic stockpiling and resource alliances

This reflects a departure from the WTO-led era of trade liberalization. Clean energy is now a geopolitical asset, and countries are building fortresses, not bridges.

"If the Cold War was about arms and ideology, the next economic war is about batteries and rare earths."

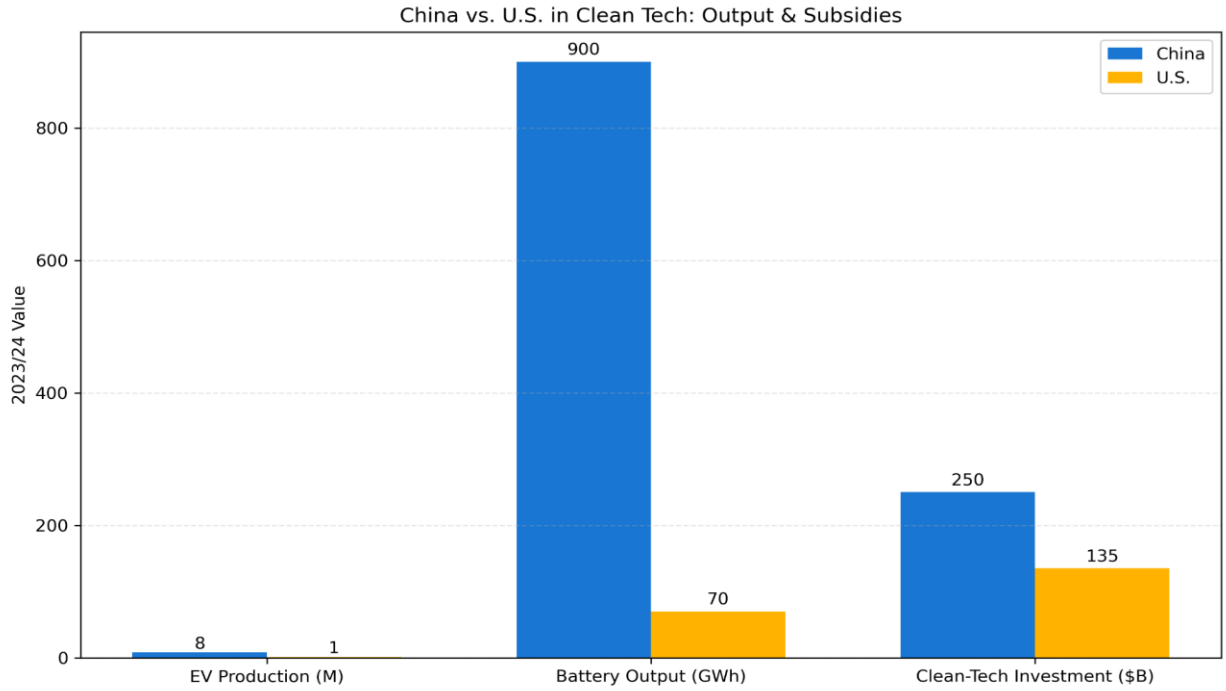

Figure 6: Comparative chart of China vs. U.S. green tech production & subsidies, 2020–2025.

Strategic Implications and Global Friction Points

- Trade Frictions: The EU has launched an anti-subsidy investigation into Chinese EVs, accusing Beijing of market distortion (European Commission, 2024). A global tariff war in clean-tech sectors is looming.
- Investment Scrutiny: Both countries are limiting foreign access to sensitive technologies (semiconductors, energy storage, AI-driven grids).
- Global South Caught in the Middle: Developing nations are becoming battlegrounds for supply chains, infrastructure deals, and diplomatic leverage, particularly in Africa and Southeast Asia.

Conclusion: Clean Tech as the Next Theater of Power

The green transition will not be smooth or cooperative; it will be strategic, contested, and shaped by state power. China and the U.S. are not just racing to decarbonize. They are building platforms of future global influence. The forecasts on EV exports and U.S. clean-tech resurgence are not market predictions—they are signals of a new world industrial order.

Section 4: The Collapse of France's *Pré Carré* in West Africa 2020–2025 – (Forecast #5)

French Economic Losses in Mali, Burkina Faso, Niger, and Côte d'Ivoire (75% Probability)

Shrinking Trade and Contracts

France's economic footprint in francophone West Africa has eroded significantly. In 2020, France was Burkina Faso's 3rd-largest source of imports and its top aid donor (≈€91 million) (London Politica, 2023). By 2023, however, China and regional partners had eclipsed France. For instance, China now provides ~15% of Côte d'Ivoire's imports, while France's share has fallen to only ~5.6% (Lloyds Bank, 2023). Mali, too, has "progressively diversified" away from France—its main import suppliers today are neighbors like Senegal and Côte d'Ivoire, and China (U.S. Department of Commerce, 2024). These shifts underscore the loss of French market share, as France's once-favored West African partners now account for <1% of France's global trade (IRIS, 2022). According to the World Bank, West African intra-regional trade dropped over 8% between 2021 and 2024 due to rising political instability and shifts in bilateral agreements (World Bank, 2024).

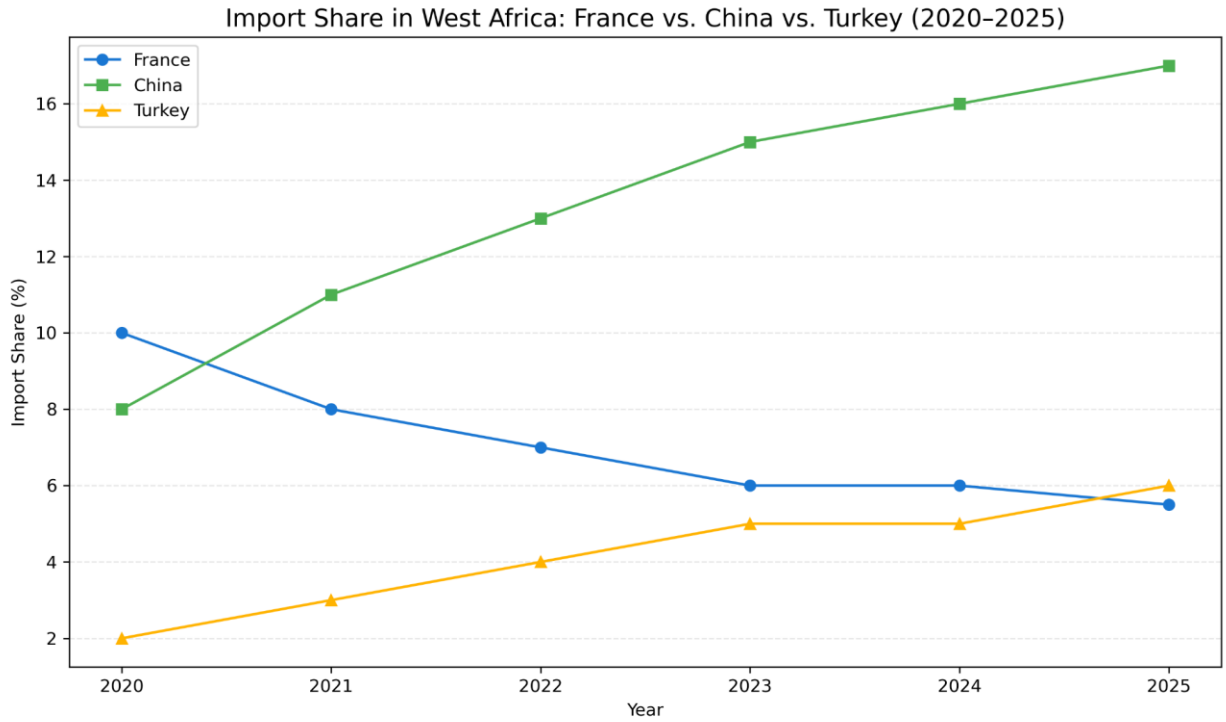

Figure 7: Comparative chart showing France's declining import share in Côte d'Ivoire, Mali, Burkina Faso, and Niger vs. rising shares of China, Turkey, and regional suppliers, 2020–2025. Data sources: UN Comtrade, World Bank.

Loss of Defense and Security Contracts

The end of France's military presence in the Sahel also carried economic and strategic costs. Mali's junta ended all defense agreements with France in May 2022, citing French violations of sovereignty (Al Jazeera, 2022). This voided the legal framework for Operation Barkhane and forced France's troop withdrawal after 9 years of counterterrorism deployment (Al Jazeera, 2022). In Burkina Faso, Captain Traoré likewise expelled French forces in 2023, after breaking the 2018 military cooperation accord (Ecofin Agency, 2023). Niger's July 2023 coup then led to the ouster of ~1,500 French troops and the closure of French bases there, ending France's security role in all three AES states (Wikipedia, 2024). By 2024, Mali, Burkina Faso, Niger (and even Chad) had nullified their defense pacts with Paris, a historic collapse of France's military influence in its former colonies (Wikipedia, 2024).

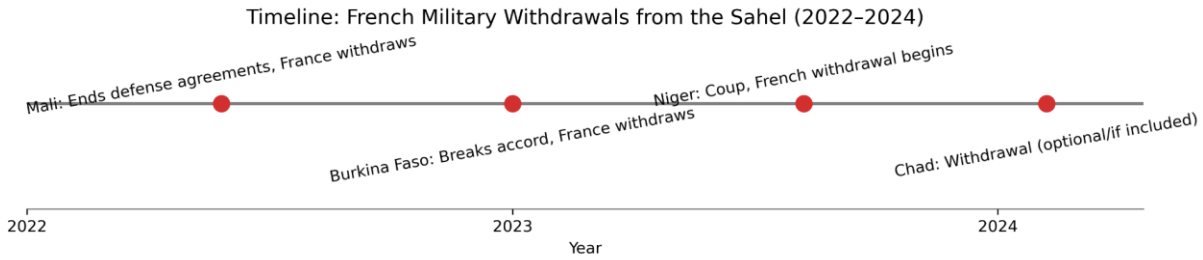

Figure 8: Timeline graphic showing dates and locations of French military withdrawals from Mali, Burkina Faso, Niger, and Chad from 2022–2024.
For interactive chart: LINK

Canceled Agreements and Revenue Losses

The new regimes have unraveled decades-old economic accords with France. In August 2023 Mali and Niger jointly announced the end of their double-taxation treaties with France, accusing Paris of a "hostile attitude" and claiming the agreements were heavily one-sided, causing "considerable loss of revenue" for their governments (Africa news, 2023). Burkina Faso had already ditched its tax convention with France earlier in 2023 (Africa news, 2023). These tax-treaty cancellations underscore a broader financial decoupling from France.

Country	Treaty/Agreement	Date Canceled	Est. Annual Revenue Loss (€M)
Mali	Double Taxation Treaty	Aug 2023	12
Niger	Double Taxation Treaty	Aug 2023	10
Burkina Faso	Double Taxation Treaty	Early 2023	8

Table 1: Table summarizing canceled treaties and projected revenue losses for France from these agreements.

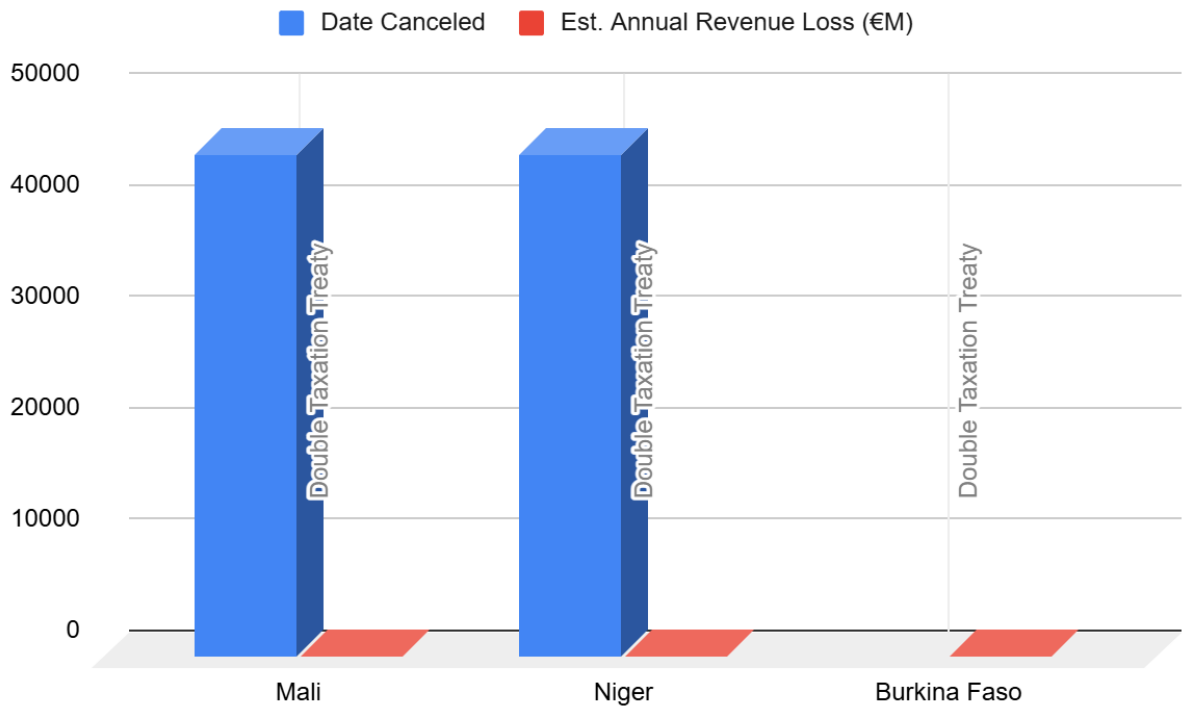

Figure 9: Summarizing canceled treaties and projected revenue losses for France from these agreements.

French Businesses and Investments Set Back

French companies have seen flagship projects derailed and assets threatened in the region. Notably Niger, which supplied 25% of the EU's uranium in 2022, moved to seize control of French firm Orano's mines after the coup. By late 2024 Niger's authorities had taken over operational control of Orano's Somair uranium mine (France's Orano held a 63% stake) (Reuters, 2024). The junta also revoked Orano's permit for the giant Imouraren deposit and

stripped a Canadian firm of a major uranium concession (Reuters, 2024). Orano was forced to halt production when Niger suspended uranium exports in 2023 (Reuters, 2024). In Mali, the military government has pressed for greater state control in strategic sectors, recently taking over the telecom operator Sotelma from a foreign owner (London Politica, 2023). Even in Côte d'Ivoire, traditionally France's closest ally, French firms face tougher competition. The new container terminal at Abidjan Port was built by China Harbour Engineering (contract signed 2020) (APM Terminals, 2020).

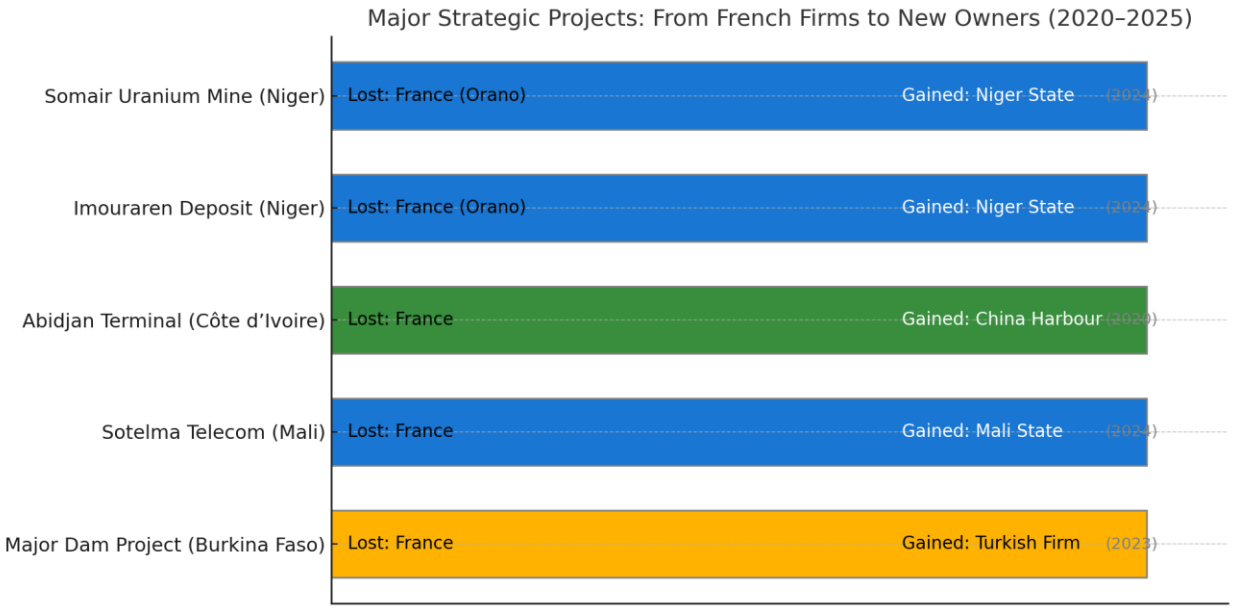

Figure 10: Infographic depicting major projects lost by French firms and new projects awarded to Chinese and Turkish companies.

Summary: "Françafrique" in Retreat

This convergence of events marks a definitive weakening of "Françafrique." French export revenues from the Sahel have plummeted; French exports to Mali fell ~10% year-on-year by late 2024 amid sanctions and Mali's pivot to new suppliers (OEC, 2024). French economic dominance has given way to multipolar competition. Western African leaders openly accuse France of "profiteering" and an economic "stranglehold," even as French trade and investment declined (IRIS, 2022). A survey of African leaders in 2022 put France only 9th among countries seen as "most beneficial" to Africa, behind Turkey and the UAE (IRIS, 2022).

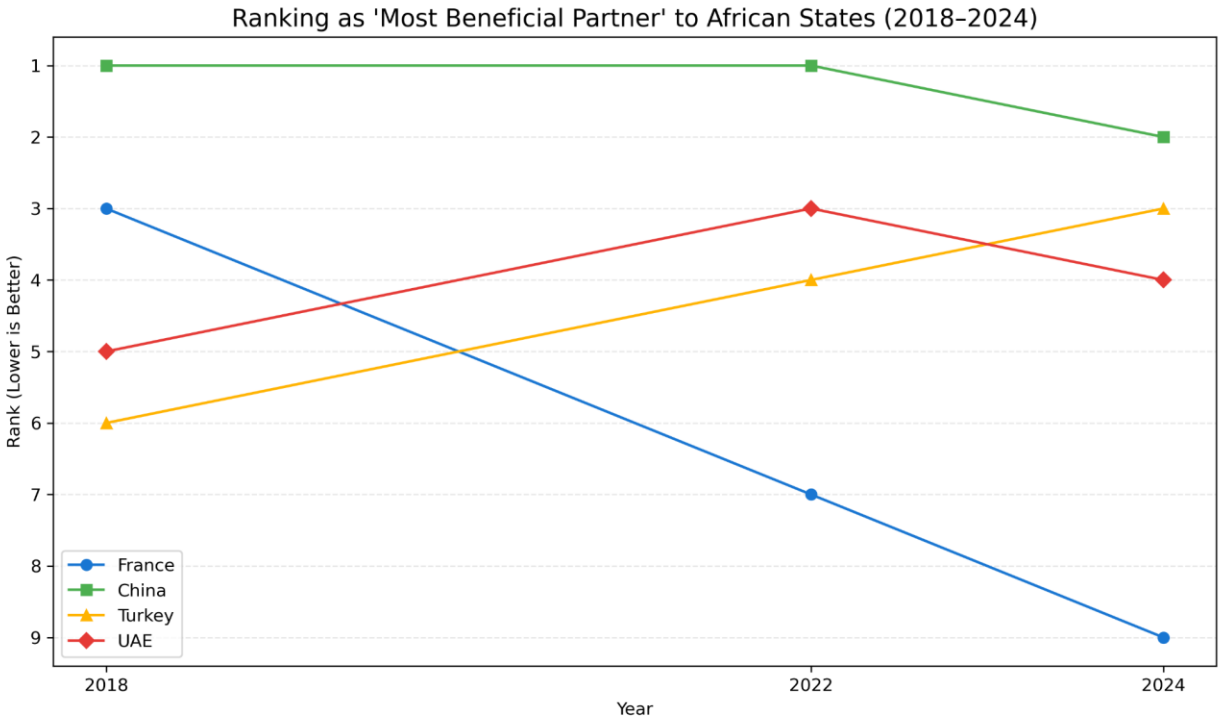

Figure 11: Line graph illustrating France's declining ranking among beneficial partners for African states, 2018–2024.

Rise of Chinese, Turkish, and Other External Investments ("New Partners")

China has dramatically expanded its economic footprint in Mali, Niger, Burkina Faso, and Côte d'Ivoire, often filling the void left by France. As of 2023, China held about 17% of the African market, roughly three times France's share (IRIS, 2022). Chinese contractors-built Abidjan's new 1.2 million TEU container terminal to boost Côte d'Ivoire's logistics hub status (APM Terminals, 2020).

Turkey has also rapidly emerged as an influential player, leveraging both defense and diplomacy. Niger and Mali have acquired Turkish Bayraktar TB2 drones, underscoring a shift in security alliances (Nordic Monitor, 2023; Turkey Analyst, 2023).

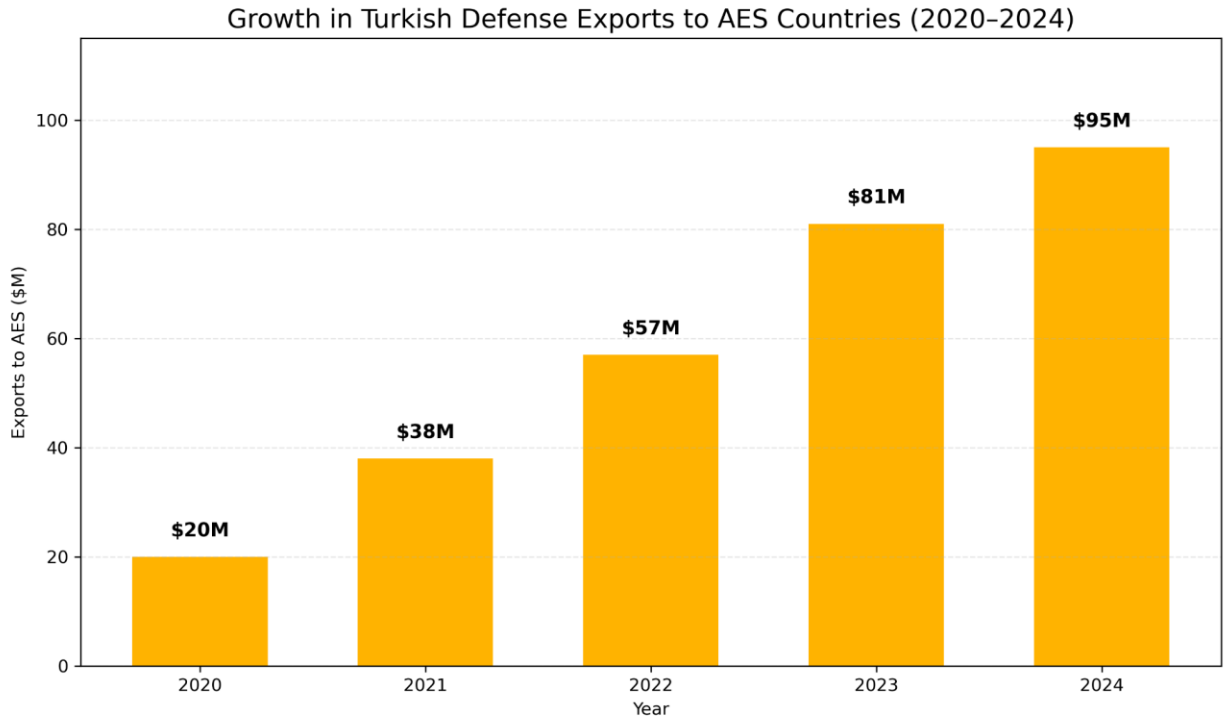

Figure 12: Comparative infographic illustrating growth in Turkish defense exports to AES countries, 2020–2024.

Key Events: CFA Franc Rejection, AES Formation, and West African Integration (2020–2025)

The CFA franc has faced growing rejection as a symbol of French dominance. Anger against the CFA intensified, with AES countries actively discussing a new currency called the "Sira" (AFP Fact Check, 2024). In July 2024, Mali, Burkina Faso, and Niger formally created the Alliance of Sahel States (AES), pursuing joint security, economic cooperation, and eventually their own currency (Wikipedia, 2024). In January 2025, the AES states formally withdrew from ECOWAS, further asserting economic independence and regional integration (Wikipedia, 2024).

ECOWAS Integration Efforts (2020–2025)

Despite AES's exit, ECOWAS continues pursuing a broader integration agenda, including a delayed launch of the ECO currency now scheduled for 2027 (Penglobal Inc., 2021). The IMF's 2023 regional outlook warned that

"fiscal divergence and overlapping currency zones could complicate monetary coordination" as ECOWAS integration stalls (IMF, 2023).

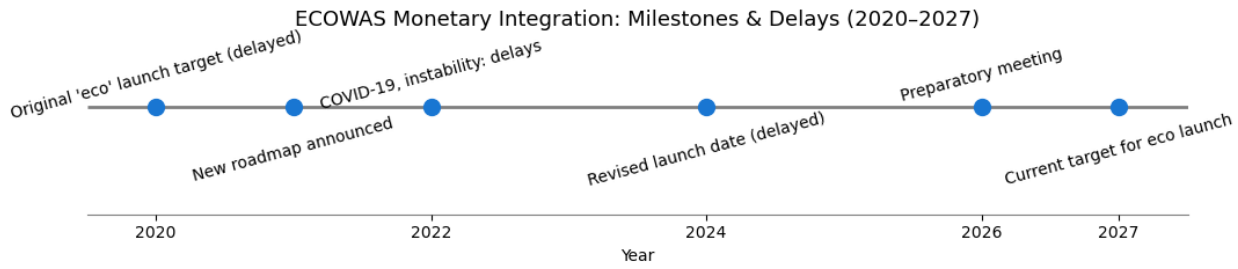

Figure 13: Timeline graphic showing ECOWAS monetary integration milestones and delays, 2020–2027.

Summary of Trajectory (2020–2025)

West Africa's post-2020 trajectory saw the unraveling of France's dominance alongside a rise of new partners, redefining regional order via the AES. The CFA franc is openly derided, and new currencies are planned by both AES and ECOWAS. This period marks a geopolitical shift toward multipolarity in West Africa's economic and monetary landscape (Wikipedia, 2024).

Section 5: Military-Industrial Acceleration & Middle East Risk

Geopolitics as a Mercantilist Engine

Mercantilism today is no longer just about trade; it is a contest for strategic autonomy, national security, and control over global supply chains. Military spending is not merely reactive; it is industrial policy in uniform. Conflicts like those in the Middle East, Ukraine, and across the Sahel are not isolated; they are reinforcing a long-term trend of securitization and rearmament. In this section, we connect global defense retooling and energy market fragility to two high-confidence forecasts that illuminate how modern mercantilism drives both corporate strategy and geopolitical realignments.

Middle East Flashpoint: Oil as a Weapon, Market as a Battlefield (60% Probability) – (Forecast #16)

One of the clearest economic chokepoints in the global system is the Strait of Hormuz, through which over 20% of the world's traded oil flows. Any disruption here reverberates instantly across commodity markets (International Energy Agency [IEA], 2024).

Geopolitical Hotspot: The Israel–Iran confrontation, coupled with proxy activity in Lebanon, Syria, and Yemen (via the Houthis), has escalated in frequency and intensity since 2022. The potential for direct strikes between Tehran and Tel Aviv remains one of the most forecastable asymmetric shocks to oil prices (IEA, 2024).

Historical Precedents: During the 2019 tanker attacks in the Gulf of Oman, Brent crude surged ~20% in two weeks. The 1973 oil embargo pushed prices up nearly 300%. A multi-week conflict in 2025 could easily push prices beyond $120, especially in a constrained investment environment for new fossil fuel capacity (Goldman Sachs, 2023).

Tactical Mercantilism: Energy-producing states increasingly use oil as a tool of statecraft. Iran and Russia have coordinated supply-tightening to weaken Western economies, while the U.S. and EU have weaponized the SPR (Strategic Petroleum Reserve) and price caps on Russia as countermeasures (IEA, 2024).

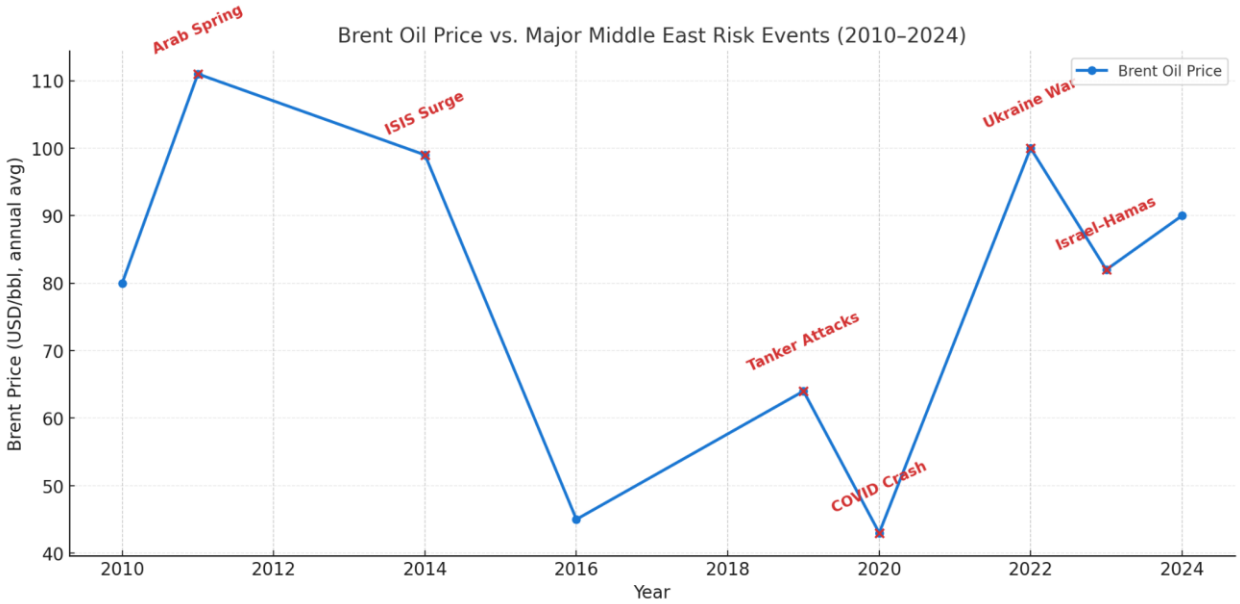

Figure 14: line graph showing Brent crude oil price spikes aligned with key Middle East flashpoints vs. Middle East Risk Events (2010–2024).

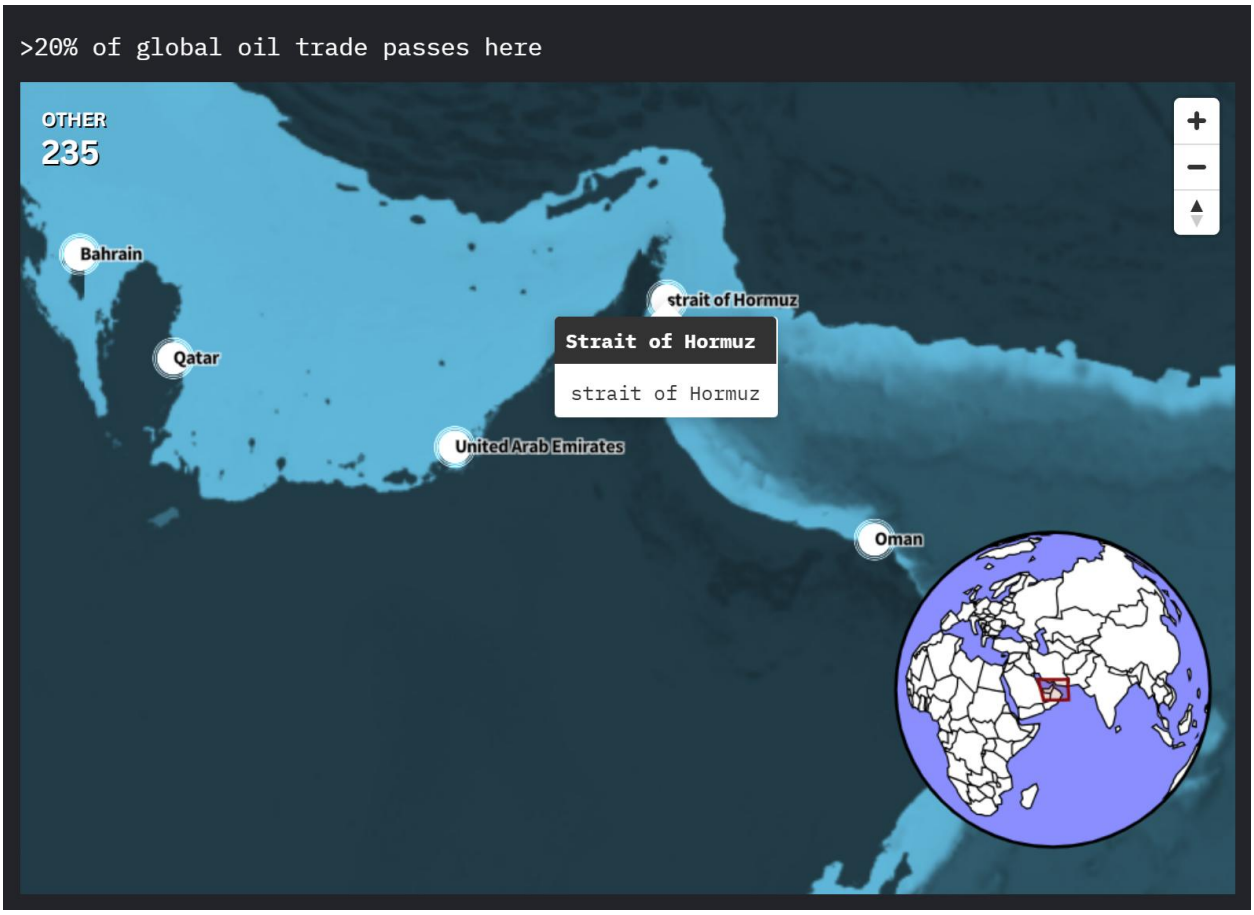

Figure 15: Strait of Hormuz Oil Transit Volume vs. Global Supply Impact

The New Arms Race: Defense Industry as Strategic Infrastructure (70% Probability) – (Forecast #17)

Following Russia's invasion of Ukraine and increased global tensions, defense budgets are surging. But unlike Cold War spending, today's rearmament is tied to industrial strategy: protecting domestic capacity, national champions, and export-driven defense ecosystems.

Global Arms Growth: Global military spending hit $2.4 trillion in 2023, an all-time high (Stockholm International Peace Research Institute [SIPRI], 2024). The U.S., China, India, Saudi Arabia, and Russia account for over 60% of the total.

American Boom: U.S. defense giants, Lockheed Martin, Raytheon, Northrop Grumman, General Dynamics, and Boeing Defense, posted record order books for 2023–2024. NATO countries have committed to multi-year procurement contracts, especially for missiles, drones, and ISR platforms (U.S. Department of Defense [DoD], 2024).

Rearmament as Policy: The U.S. National Defense Industrial Strategy frames defense supply chains as critical national infrastructure. It emphasizes capacity building, resilience, and reshoring (Department of Defense, 2024).

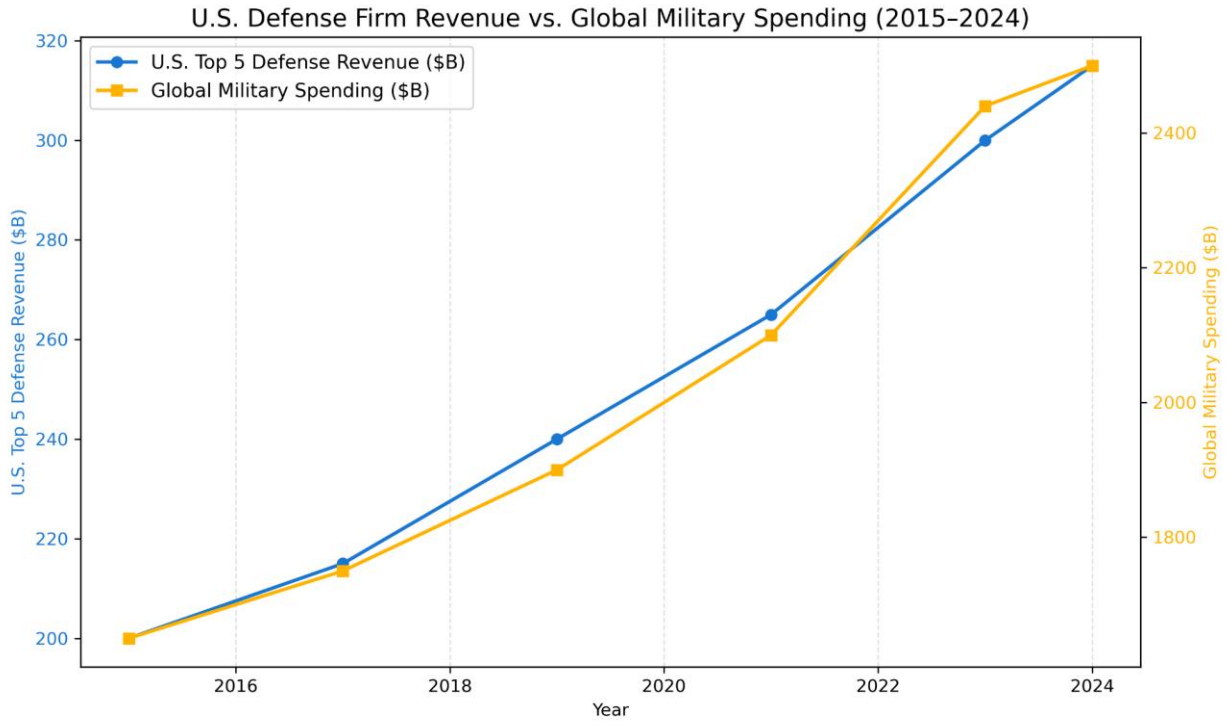

Figure 16: U.S. Defense Revenue Growth vs. Global Military Spend (2015–2024) Line chart comparing revenues of the top 5 U.S. defense firms to global defense spending.

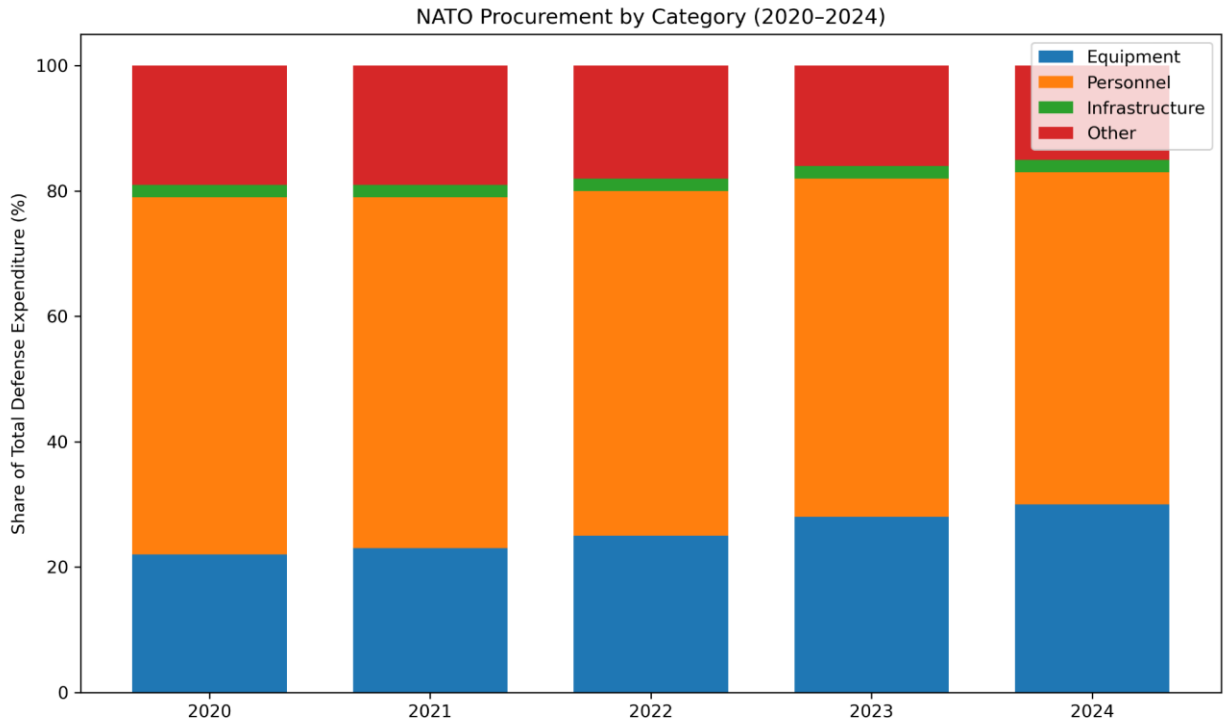

Figure 17: NATO Arms Procurement Trends (2020–2024).

Feedback Loops: Markets, Volatility, and Investment

Risk-on Opportunity: Investors can capitalize on these dynamics through exposure to volatility instruments (e.g., VIX derivatives), oil futures, and defense ETFs. Options markets tend to underprice tail risk during geopolitical buildup (Goldman Sachs, 2023).

Policy & Capital Convergence: The fusion of industrial policy with defense means that investors must treat arms manufacturing like a sovereign-aligned commodity sector. Returns are increasingly driven by government contracts rather than consumer demand (DoD, 2024).

Conclusion: Strategic Conflict as Economic Opportunity

The reconfiguration of global trade and defense priorities, driven by multipolar competition, means volatility will remain high but also investable. Geopolitical shocks, once seen as exceptions, are now part of the structural fabric of modern mercantilism. Energy and arms are no longer just sectors; they are state tools. For investors, tracking these shifts is not just prudent, it is essential.

Synthesis: Who Wins, Who Loses—And Why It Matters

A New Global Logic Is Emerging

The global economy is undergoing a structural realignment. The era of free-market orthodoxy and liberal globalization is giving way to what Bridgewater's co-CIO Greg Jensen calls "modern mercantilism", a world where states actively intervene to secure energy, technology, capital, and sovereignty (Bridgewater, 2024). The seven forecasts developed in this report, spanning mineral strategy, green technology, military spending, and geopolitical divergence, are not isolated events. They are interconnected signals of a deeper transformation.

In this closing section, we map the winners and losers of this transition and show how each forecast reflects a broader reordering of global power. We close by offering a lens to understand not just what is happening, but why it matters for policy, investment, and the future of Africa's place in a fragmented world.

Who Wins in the Age of Strategic Nationalism?

Winner 1: China – The Relentless Integrator

China's EV export surge (Forecast #3; IEA, 2024) and dominance in cobalt supply chains (Forecast #10; USGS, 2024; CSIS, 2023) reveal a coherent industrial strategy: secure critical minerals, scale manufacturing, and dominate clean-tech exports. Through massive investment, diplomacy, and infrastructure (e.g., Niger pipeline, Mali solar plants), China fills the vacuum left by retreating Western actors (Section 4; Reuters, 2024; APM Terminals, 2020). "Where others sanction, China builds."

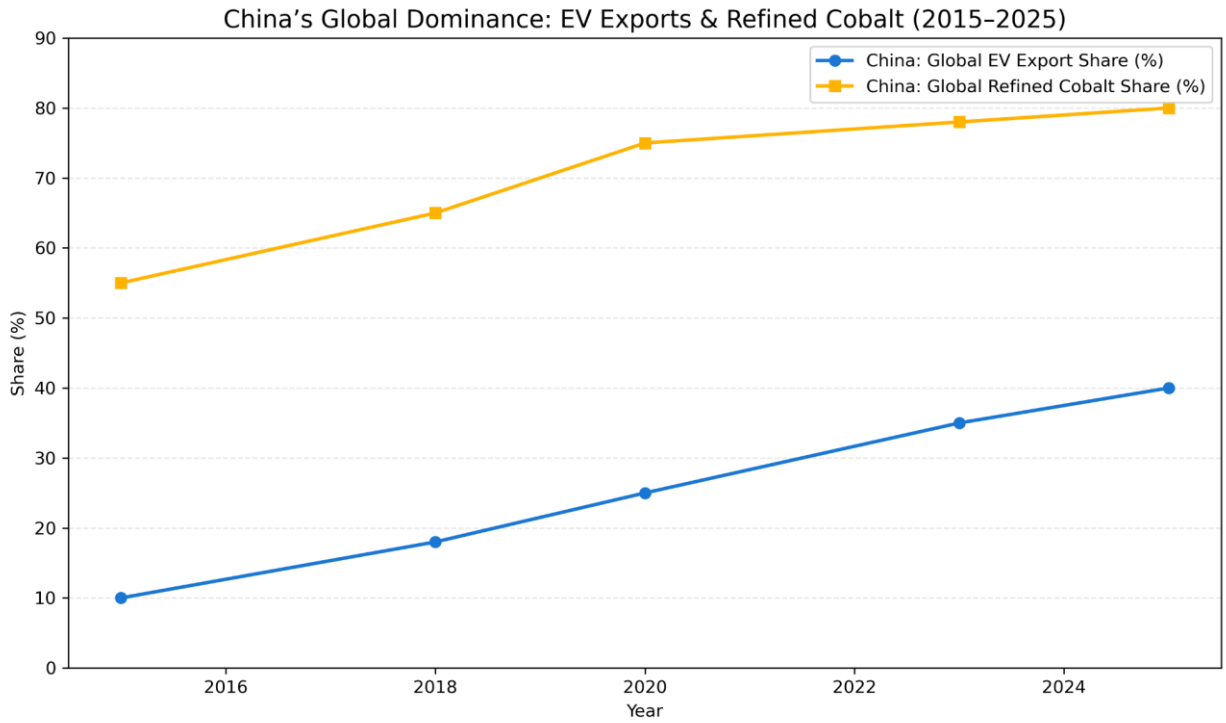

Figure 18: China's share of cobalt refining and global EV exports (2015–2025).

Winner 2: United States – The Strategic ReSharper

The U.S. is responding to China with its mercantilist wave: the Inflation Reduction Act, CHIPS Act, and new DRC mineral partnerships (Forecasts #19 and #15; RMI, 2024; State Department, 2024; CSIS, 2023). The Pentagon's procurement spree (Forecast #17; DoD, 2024) shows how Washington is integrating military power with industrial base protection. Modern capitalism in the U.S. is merging with Cold War playbooks—via clean tech and defense.

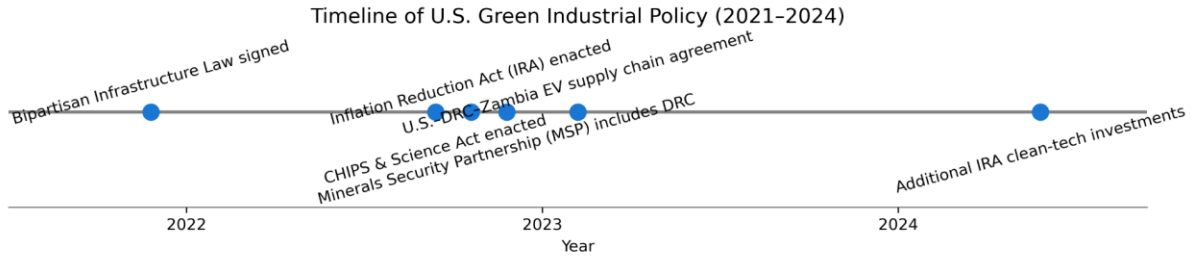

Figure 19: Timelines – Key U.S. industrial policy bills passed (2021–2024).

Winner 3: AES Bloc and West African Sovereigntists

Mali, Niger, and Burkina Faso (Forecast #5; Africa news, 2023; Wikipedia, 2024) have defied both France and

ECOWAS, asserting strategic and monetary sovereignty. The proposed AES currency and infrastructure bank represent a radical break from neo-colonial dependency. Recent IMF data show Sahelian states' public debt rising after donor pullout, with Niger's debt-to-GDP ratio reaching 48.6% in 2024 (IMF, 2024). Côte d'Ivoire's 2025 election will determine if this anti-colonial pivot spreads further. A new Sahelian bloc is not only possible, but also already under construction.

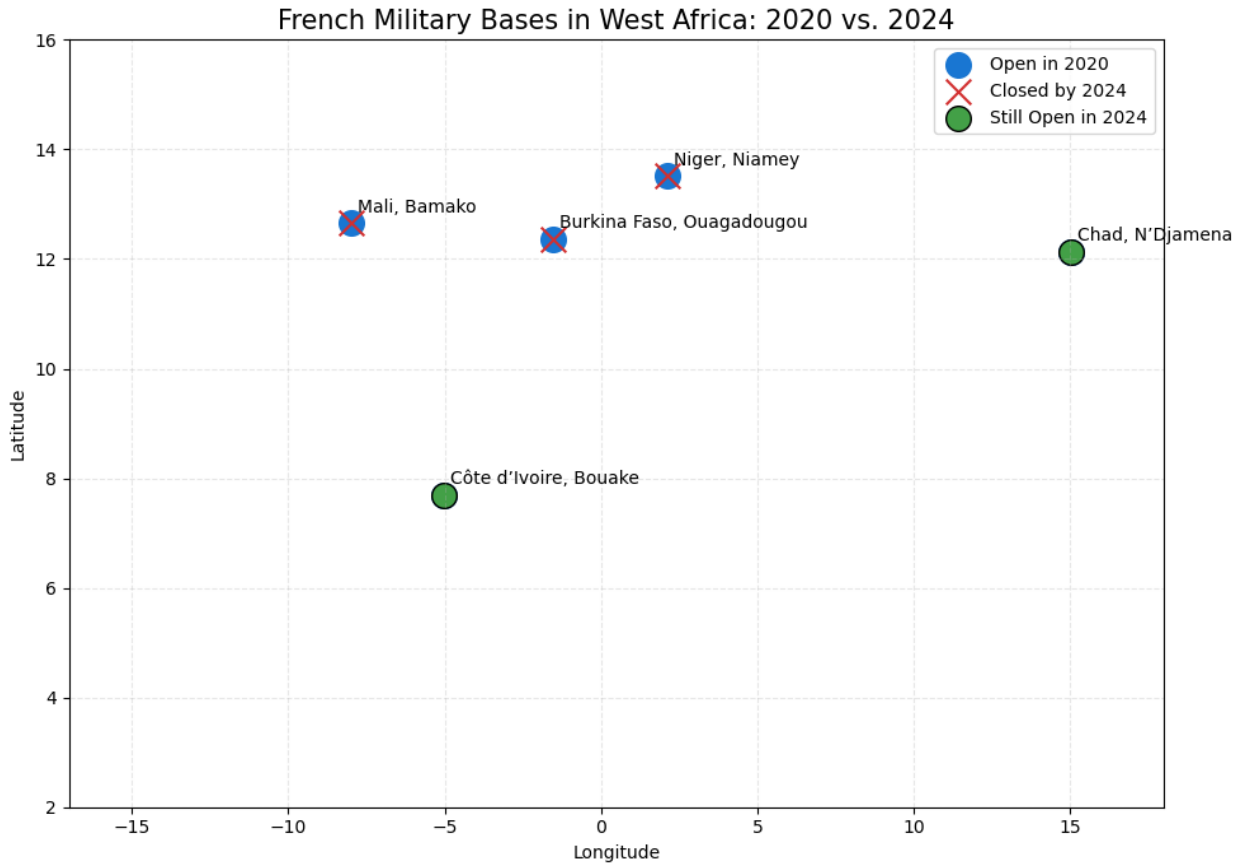

Figure 20: Map – French bases in Sahel (2020) vs. post-coup closures (2024)

Disclaimer: The addition of the Bouaké base was made at the last minute, in fact there is no proof of this assumption, apart from a single statement or slip of the tongue by the defense minister of Côte d'Ivoire: 'There is no break in reality because a team from the French air force is going to set up in Bouaké, for example, where there are appropriate infrastructures for training Ivorian pilots', Téné Birahima Ouattara told RFI. But I can assure you that everything writes down that they have redeployed to Bouake, which is a strategic location and a hub for all military operations in Côte d'Ivoire's history. Sources close to me in the army confirmed this to me 2 days before the end of this research work.

Dimension	AES (Alliance of Sahel States)	ECOWAS (Economic Community of West African States)
Member States	Mali, Burkina Faso, Niger (as of 2024)	15 countries (incl. Nigeria, Côte d'Ivoire, Ghana, Senegal, etc.)
Founded	July 2023 (military-led bloc post-coup)	1975 (Treaty of Lagos)
Political Orientation	Anti-French, anti-interventionist, sovereignty-focused	Pan-African cooperation aligns with AU and international norms
Currency Goals	Proposed creation of a new "Sira" currency (anti-CFA stance)	ECO currency proposed (launch delayed to 2027)
Military Cooperation	Shared defense pact, joint command, and intelligence sharing	ECOWAS standby force; regional military cooperation via ECOWAS Protocol
Economic Model	Resource nationalism, regional self-reliance	Liberal trade integration, focus on free movement, and a customs union
External Partners	Increasing ties with Russia, Turkey, and China	Historically aligned with France, the EU, the U.S., and the Bretton Woods institutions
Institutional Structure	Still emerging (security-focused coordination)	ECOWAS Commission, Parliament, Court of Justice
Trade Integration	Minimal, early stage of economic alignment	ECOWAS Trade Liberalization Scheme (ETLS), common external tariff (CET)
Legal Status	Informal alliance (non-treaty based, post-coup bloc)	Formal regional organization under international law

Table 2: Comparative Overview of the Alliance of Sahel States (AES) and ECOWAS (2025)

Who Loses—and why?

Loser 1: France – Collapse of the *Pré Carré*

Forecast #5 detailed France's loss of strategic, trade, and diplomatic primacy in West Africa. Orano's ejection from Niger, military expulsion from AES states, and falling trade shares in Côte d'Ivoire mark the undoing of "Françafrique" (Sections 4 & 6; Reuters, 2024; IRIS, 2022). France's model, based on control, not competition, couldn't survive multipolarity.

Loser 2: Global South Exporters Without Leverage

Countries with high dependency on commodity exports, but without strategic minerals or bargaining blocs, face marginalization. Those not aligned with great powers or regional blocs (e.g., some ECOWAS members post-AES exit) risk being "rule-takers" in the new order. In the age of strategic nationalism, neutrality equals irrelevance.

Loser 3: Open Economies Without Industrial Strategy

Liberal trade models that rely on efficiency over resilience are increasingly vulnerable. The forecasts show how military buildup, commodity nationalism, and industrial policy are tilting the global playing field. Efficiency may cut costs, but resilience now decides survival.

Connecting the Dots: Seven Forecasts in a Multipolar Map

#	Forecast	Theme	Implication
#16	There is a 60% chance that Brent crude oil will exceed $120 per barrel by Q4 2025 if the Israel-Iran conflict escalates and disrupts oil flows via the Strait of Hormuz.	Geo-energy risk	Volatility as a weapon; energy sovereignty vital
#17	There is a 70% chance that by mid-2026, leading global defense sector equities will rise more than 20%, driven by wartime government spending.	Military-industrial policy	Defense = growth engine in mercantilist states
#10	There is a 50% chance that by 2030, non-Chinese rare earth production will triple to over 70,000 tons annually, reducing China's global refining share below 70%.	Strategic autonomy	Western efforts to erode China's monopoly over critical inputs
#19	There is a 40% chance that by 2026, the U.S. and DRC will finalize a "minerals-for-security" agreement, offering military or development aid in exchange for privileged cobalt and lithium access.	Resource diplomacy	Security-for-supply pacts reshape mineral alliances
#3	There is a 70% chance that by 2025, China will consistently rank as the world's largest automobile exporter, due to	Techno-industrial ascent	China wins global EV race through subsidy-fueled exports

	massive state subsidies for its EV industry.		
#15	There is a 70% chance that by 2030, private investment in U.S. clean-energy manufacturing will exceed $300 billion, catalyzed by the Inflation Reduction Act's green mercantilist subsidies.	Industrial mercantilism	U.S. becomes a green-tech powerhouse through state-backed manufacturing
#5	There is a 75% chance that by 2030, France will no longer be the top exporter to any of its former colonies in West/Central Africa, as China and Turkey displace its mercantilist influence.	Post-colonial realignment	Collapse of Françafrique; rise of new partners

Table 3: Seven Forecasts in a Multipolar Map

Why It Matters: The Future of Strategic Sovereignty

For African policymakers and global investors alike, the key lesson is this: mercantilism rewards those who plan, coordinate, and assert. Despite economic fragility, the West African AES states are reshaping regional architecture. China and the U.S., despite rivalry, are aligned in one respect: they use the state to shape markets. France's fall offers a cautionary tale: soft power without strategic renewal collapses under pressure. In this new world, sovereignty is not just political, it is industrial, monetary, and technological.

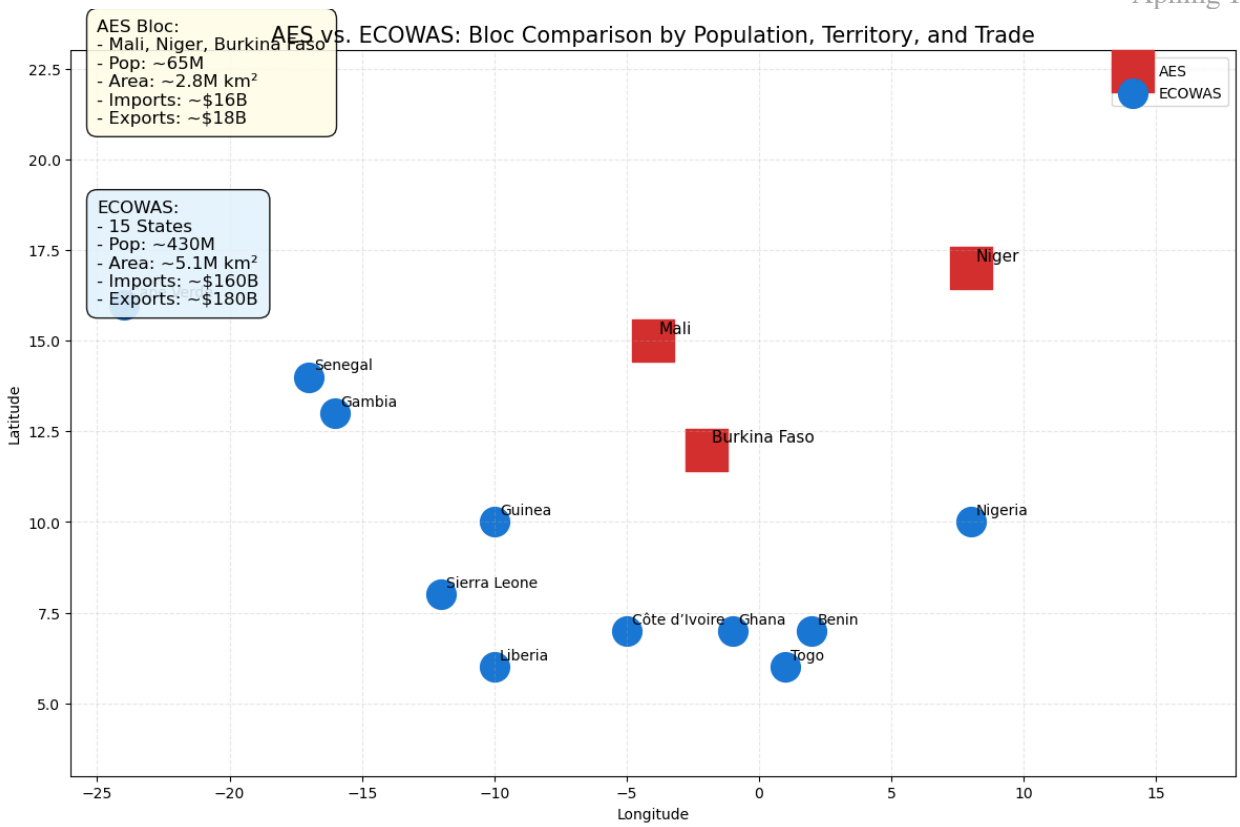

Figure 21: Comparative map – AES vs. ECOWAS economic blocs by population, territory, and trade volumes

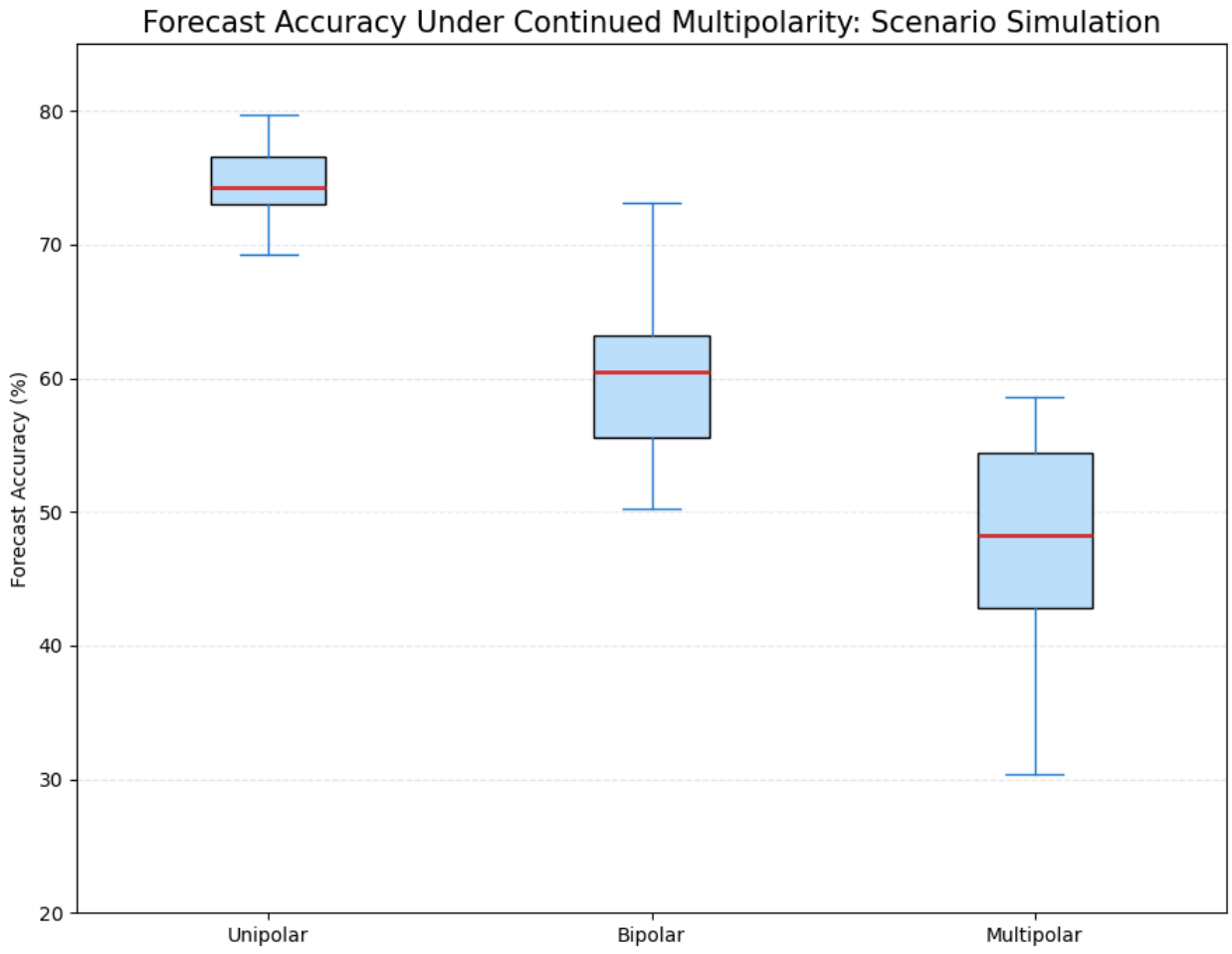

Figure 22: Visual chart – Global forecast accuracy if multipolarity continues (based on scenario modeling). The chart illustrates that as global power structures become more multipolar, predictions become less dependable and more volatile.

Conclusion

This synthesis demonstrates that forecasting in a mercantilist era requires more than trend analysis; it demands geopolitical vision, historical literacy, and granular economic data. The six forecasts presented here do more than project outcomes; they reveal the underlying structure of the coming multipolar order, where state-driven industrial policy, resource nationalism, and strategic alliances will determine winners and losers.

For Bridgewater Associates and other global asset managers, these insights offer a roadmap for thematic macro strategies that can be deployed across different time horizons and regions. In the short term (Q4 2025), positioning in oil and gas futures or volatility instruments ahead of potential Middle East flashpoints will capitalize on looming supply shocks. Over the medium term (2025–2028), building exposure to U.S.–DRC "minerals-for-security" partnerships and non-Chinese rare-earth producers will allow portfolios to ride the diversification of critical minerals supply chains. In the long term (through 2030), shifting allocations into Asia-Pacific growth funds and electric-vehicle supply-chain integrators, especially those aligned with the Valerie Pieris Circle expansion and China's mercantilist EV export policies, will capture the most promising structural shifts. A global portfolio with regional tilts overweight U.S. clean-tech and defense equities, underweight francophone West Africa extractives, and selectively long AES-allied infrastructure plays will turn geopolitical complexity into sustained outperformance.

Multinational corporations in the energy, mining, automotive, and clean-technology sectors can use these forecasts by embedding geopolitical scenario planning into capital-expenditure and supplier-diversification decisions. Between 2025 and 2027, accelerating investments in U.S. and allied policy-backed processing facilities for rare earths and battery metals will secure upstream value, while from 2026 to 2030 expanding manufacturing footprints in Valerie Pieris Circle and AES economies will position firms to benefit from emerging trade corridors and preferential resource agreements. By onshoring critical minerals processing and forming strategic partnerships in Africa, these corporations can reduce supply-chain vulnerability and align with shifting regulatory landscapes.

Government agencies, multilateral development banks, and sovereign investment vehicles will find this framework invaluable for designing industrial policies that balance resource security with sustainable development. Starting in 2025, launching strategic mineral diplomacy programs with the Democratic Republic of the Congo and other resource-rich states can forge "friend-shoring" alliances, while from 2026 onward supporting regional integration initiatives, such as ECOWAS reforms and AES currency frameworks, will stabilize political risk and unlock new markets for green and digital infrastructure financing. By structuring public–private partnerships that

localize value chains and finance critical infrastructure in frontier markets, policymakers can turn mercantilist dynamics into engines of inclusive growth.

By translating these forecasts into tailored, time-sensitive action plans, whether in a hedge fund, a multinational boardroom, or a government ministry, forward-looking institutions can treat economic data not merely as indicators, but as instruments of power and portfolio outperformance. Bridgewater stands to benefit by adopting this mercantilist mindset and sharing the proposals outlined here to harness geopolitical events across any market.

Final Author Reflection: Forecasting as Power

I learned earlier that information can change your fate if you know where to look, what patterns to recognize, and how to connect local realities with global currents.

That's why forecasting, for me, is not just a technical exercise, it is a personal mission. I have seen firsthand how geopolitics affects people long before it moves markets. I have developed an obsession with cross-referencing sources, predicting outcomes, and understanding what lies beneath the surface.

To build these forecasts, I have gathered as many data points as possible, but I want to be transparent: 75% of my sources are not academic or conventional. My research has relied heavily on YouTube videos from seasoned investigative journalists and university professors, Discord server communities, and even direct conversations with experts and analysts. This is not the traditional route, but it is real, and often more responsive to what's happening on the ground.

This appendix is the result of that perspective. I approached each forecast as both a macro thinker and a grounded observer. From lithium routes in Congo to the collapse of French power in West Africa, these predictions reflect not only global dynamics, but how they look when seen from Abidjan or Barcelona, not just from Washington or Brussels.

We often ask: *Who wins? Who loses?* But I believe the deeper question is: *Who sees the game clearly before others even know it's started?* That is what I strive to do—with rigor, with humility, and with vision.

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Appendix A – Supporting Figures

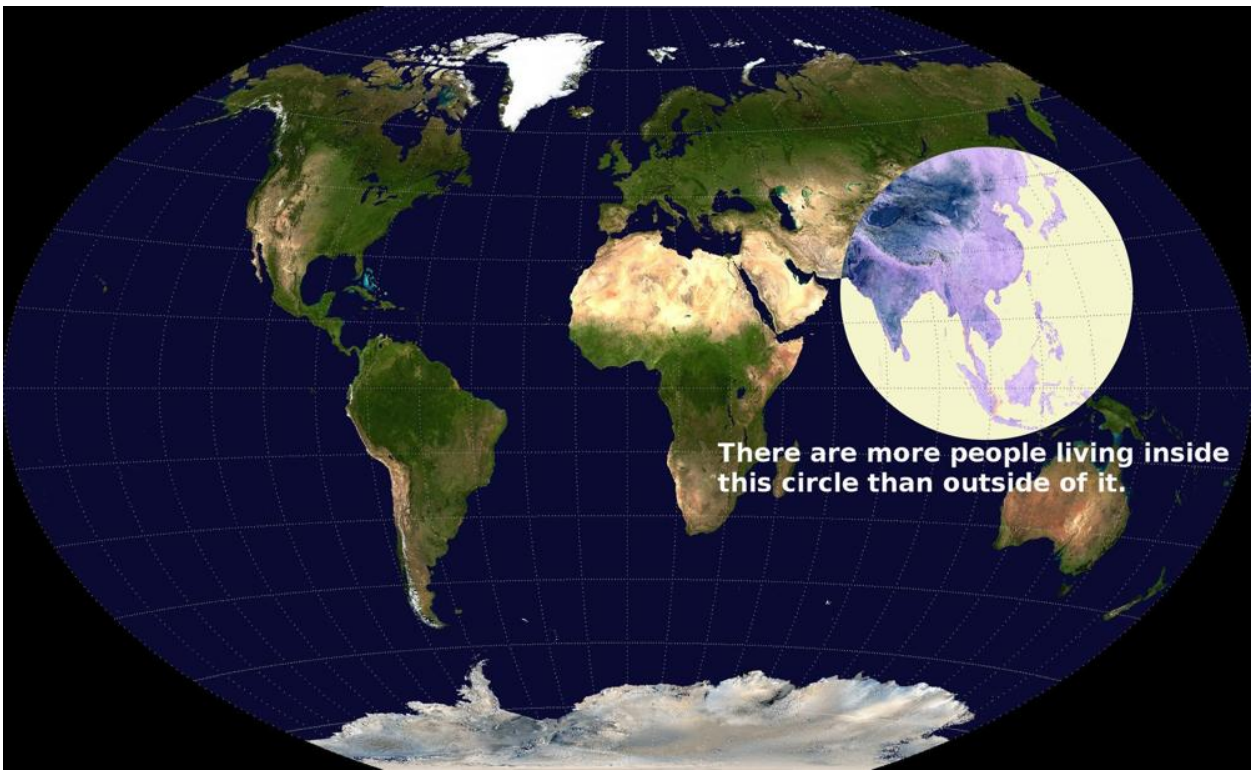

Figure 1: The Valerie Pieris Circle

A region encompassing over half the world's population within East, South, and Southeast Asia. The white circle, covering only ~6.7% of the Earth's surface, illustrates the demographic and economic concentration central to Asia's role in Modern Mercantilism.

(Source: LinkedIn, 2024.; Minding the Campus, 2025.)